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Investor Presentation | Asia Pacific

China Outlook Amid AI And Industrial Supercycle

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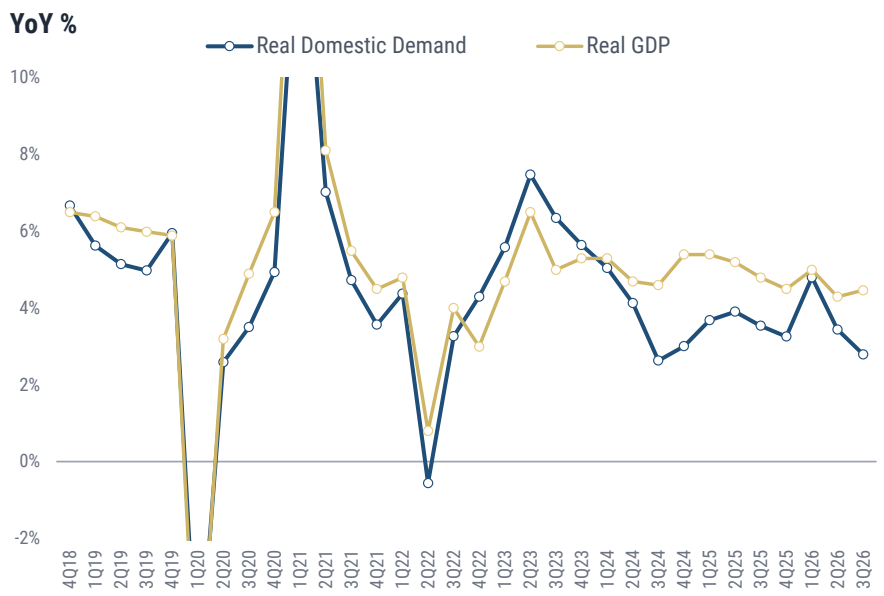
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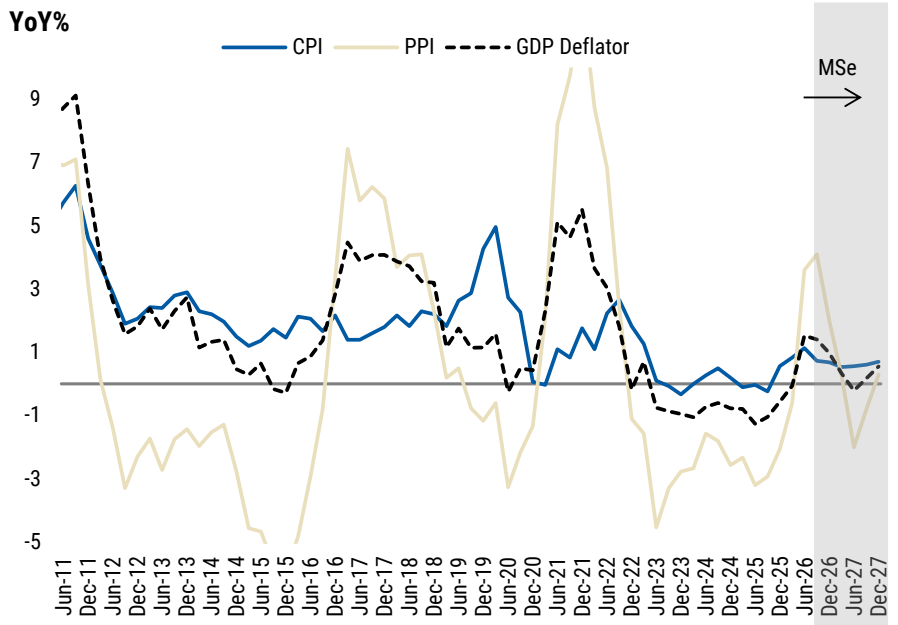
Economic Outlook

A Two-speed Economy

Headline growth supported by robust exports, while domestic demand remained subdued



Reflation is narrow

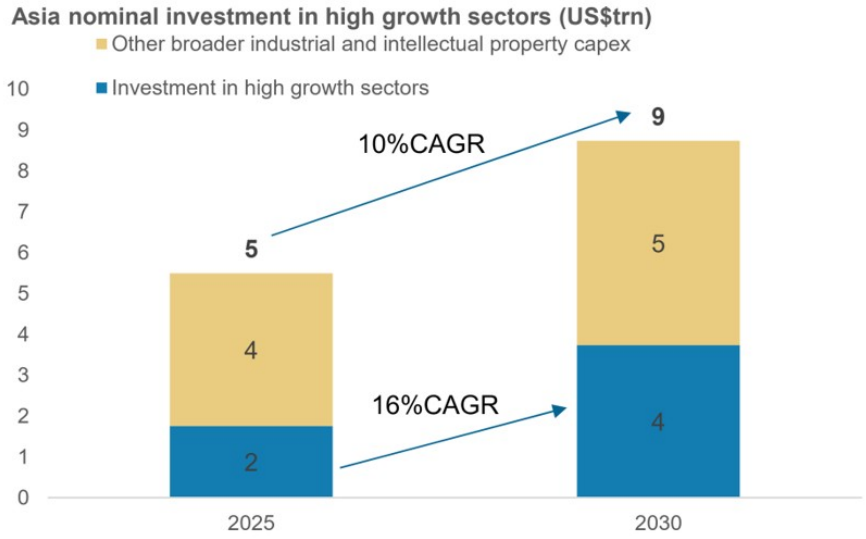


Source: CEIC, Morgan Stanley Research estimates.

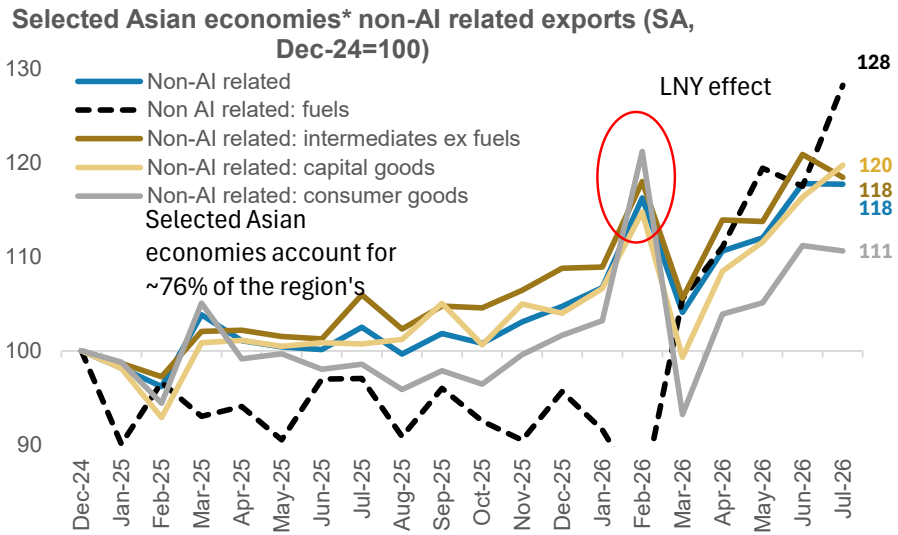
Economic Outlook

The Rising Asia Industrial Super Cycle

Asia is likely to enter its strongest industrial cycle since the mid-2000s, not just in AI/tech



The recovery in non-tech exports has been broad-based

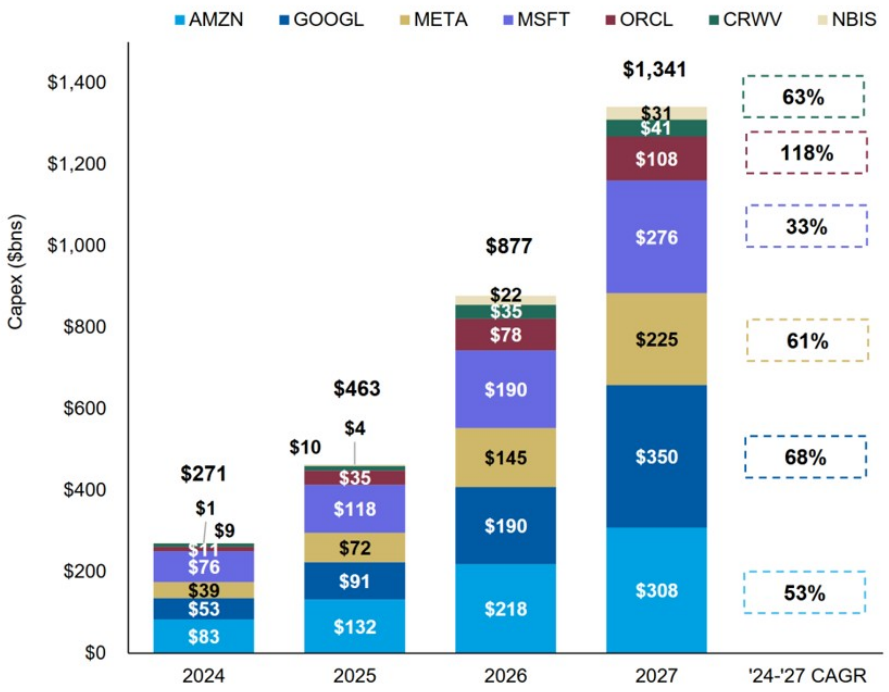


Source: Haver, Morgan Stanley Research estimates. *Asian economies include China, India, Indonesia, Korea, Taiwan, Australia, and Japan.

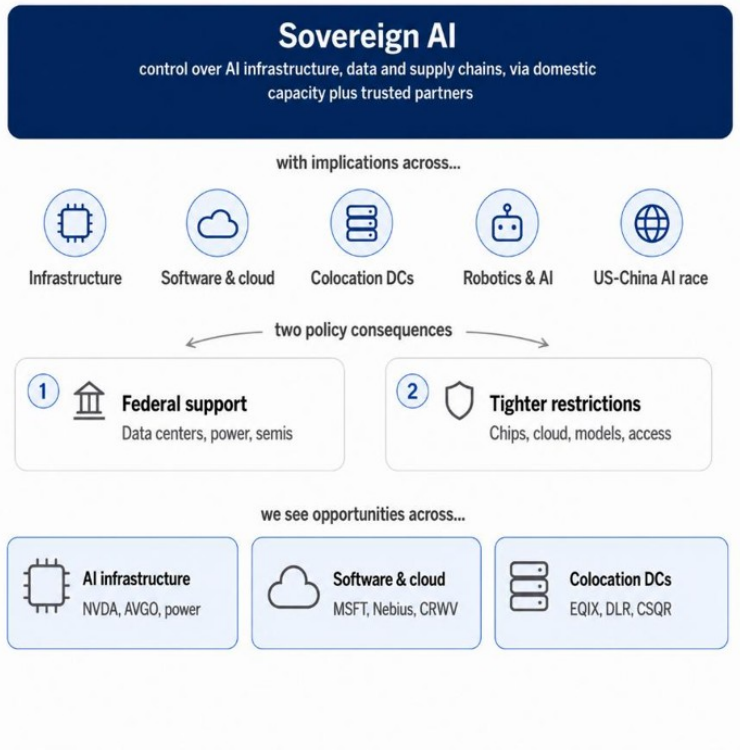
Economic Outlook

AI Is Just Part Of The Story

US hyperscaler and newcloud capex forecasts



AI sovereignty should further reinforce AI capex

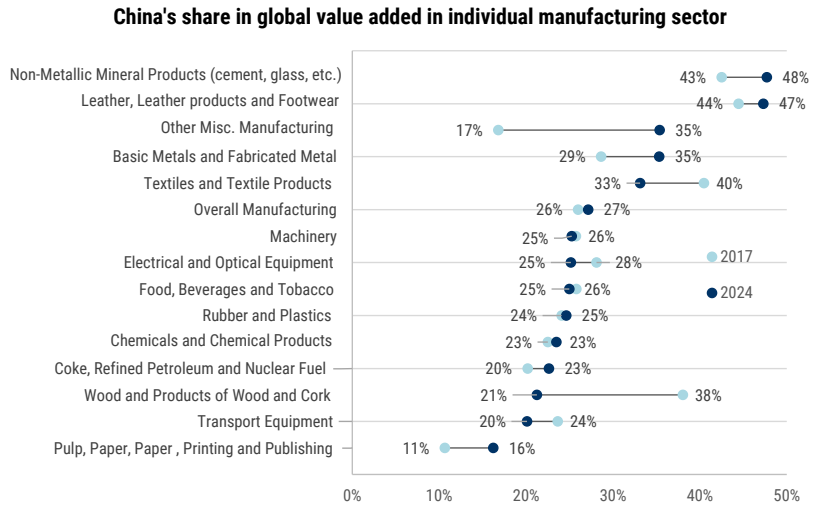


Source: CEIC, Morgan Stanley Research estimates. For more details on the LHS chart, kindly see Power Struggle: AI, Data Centers & Local Backlash (14 Jul 2026).

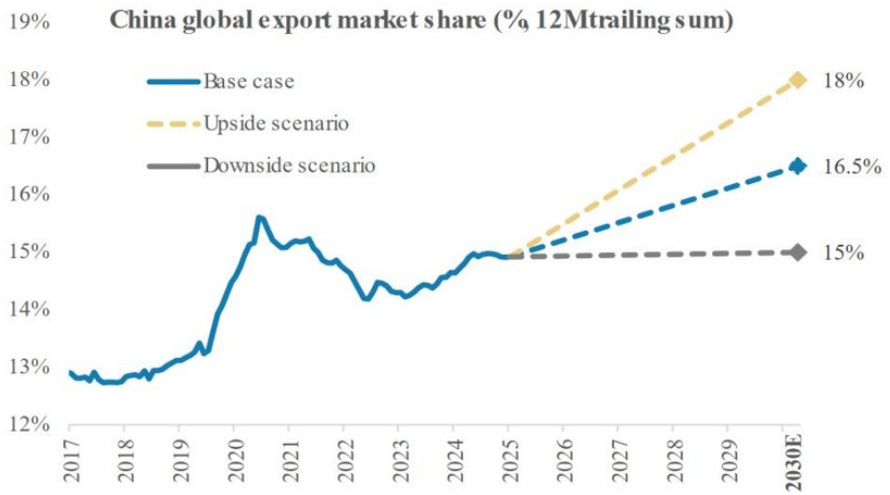
Economic Outlook

China's Exports Are Set to Benefit…

China has a dominant share in global value-added across manufacturing sectors



We expect China's global export market share to rise to 16.5% by 2030



Source: CEIC, Morgan Stanley Research estimates. For more details, see Asia Economics: Why China will widen its lead in global manufacturing exports (7 Dec 2025).

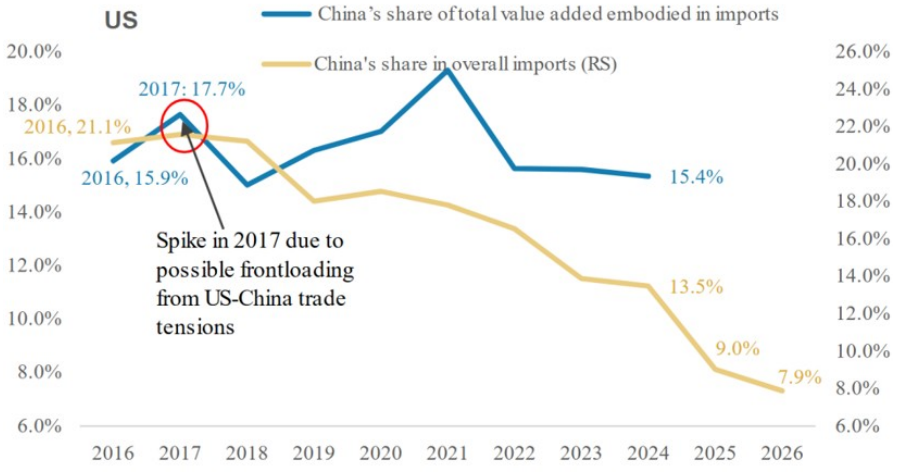
Economic Outlook

…with Deepening Presence in Global Supply Chains

Global reliance on Chinese value-added content continues to rise



Even the US is still importing as much value-added content from China, just not directly

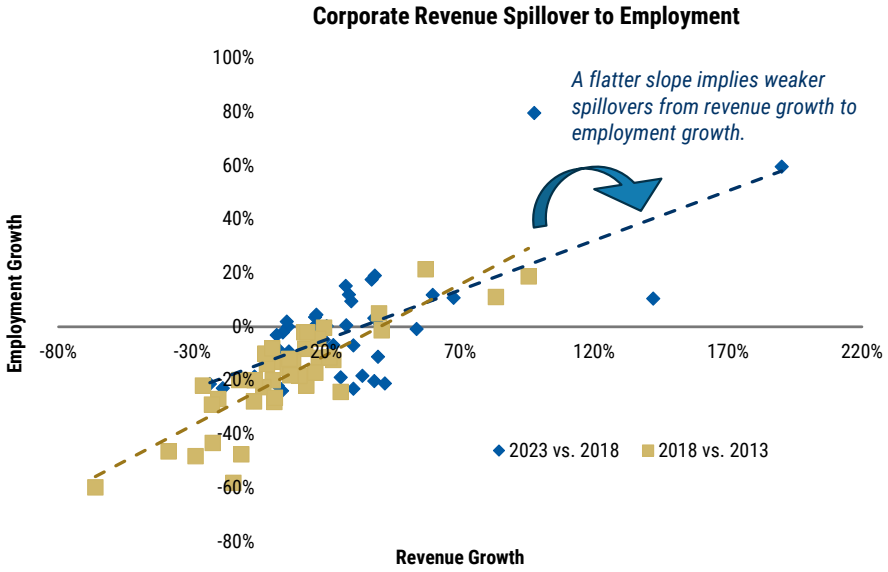


Source: CEIC, Morgan Stanley Research estimates. For more details, see Why China will deepen its presence in global supply chains (1 Oct 2026)

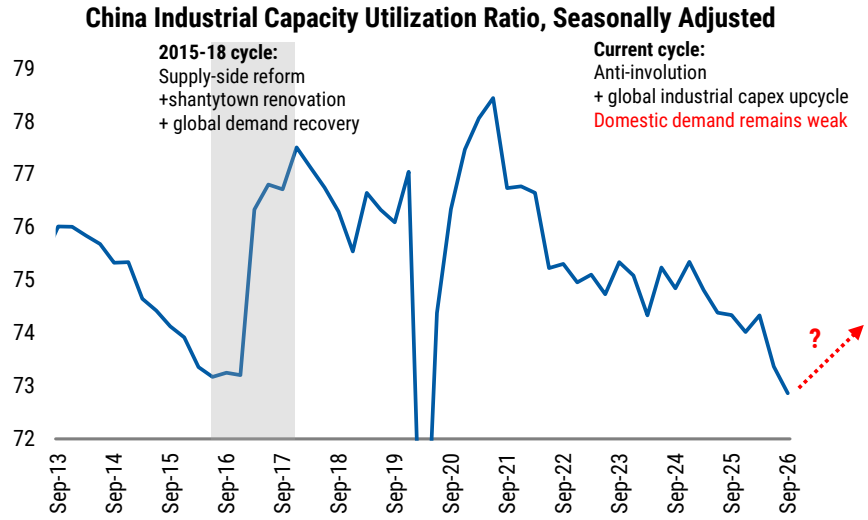
Economic Outlook

But Export Spillover To The Broader Economy Could Be Milder This Time

Employment may get less boost as the industrial sector becomes more capital intensive and automated



Lingering excess capacity may slow the spillover of export strength to domestic demand

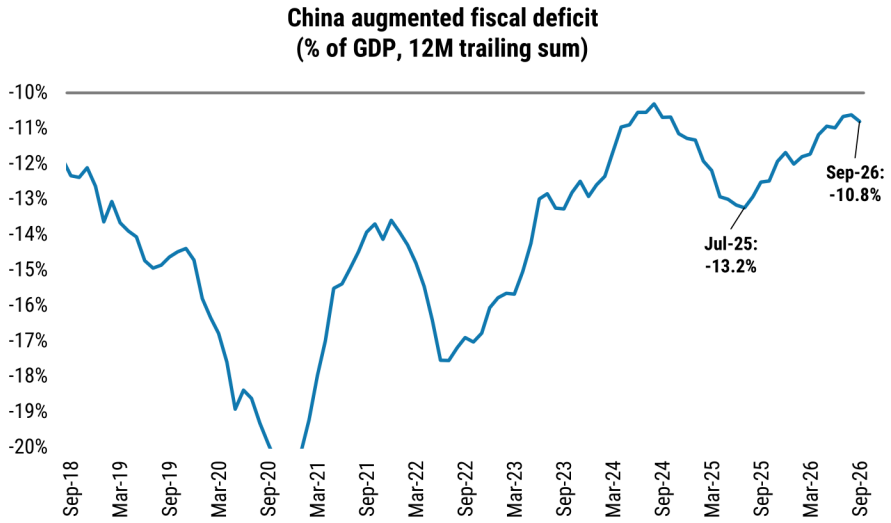


Source: CEIC, Economic Census, Morgan Stanley Research

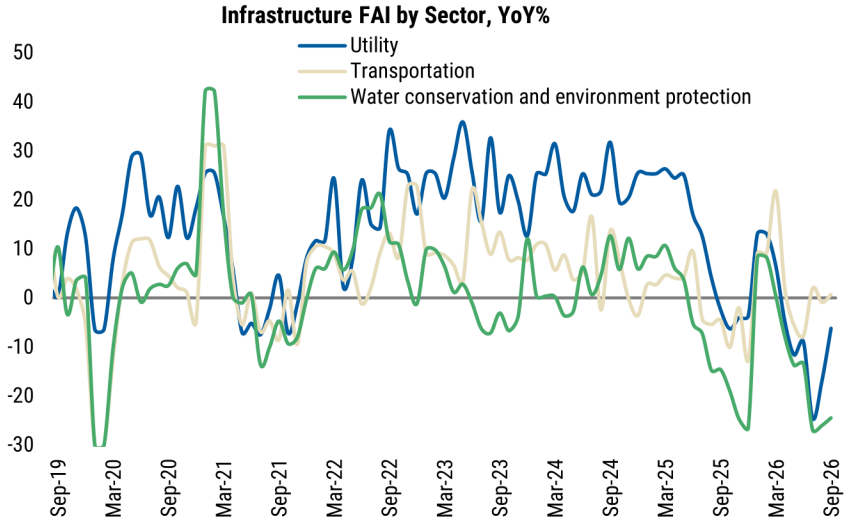
Economic Outlook

Incrementally Faster Fiscal Deployment to Cushion Infrastructure Slowdown

Augmented fiscal deficit widened mildly in September…



…supporting a rebound in infrastructure capex growth from deep contraction



Targeted policy easing measures in late-Sep to early Oct:

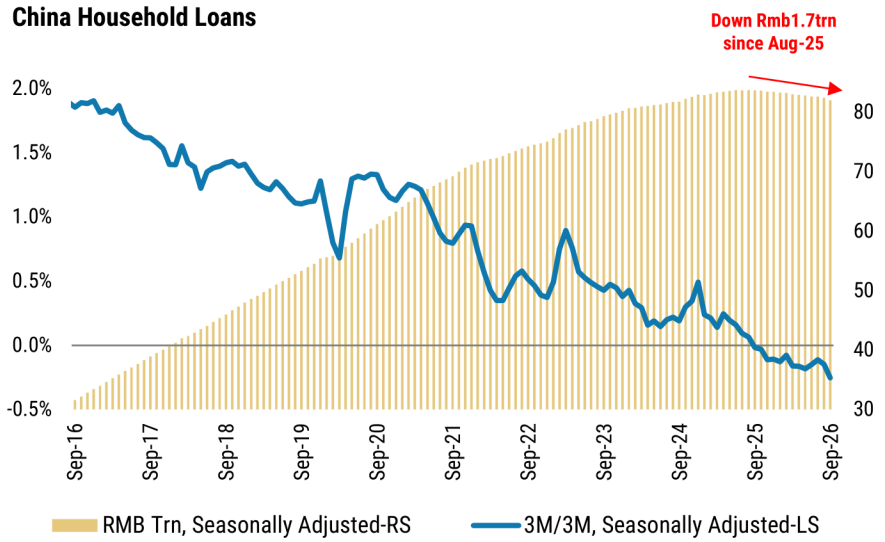
- **Faster fiscal rollout:** September government bond financing rose to Rmb1.5trn (vs. Rmb1.2trn YoY), while higher entrusted loans signal faster deployment of Rmb800bn policy bank tools.
- **Additional fiscal/quasi-fiscal support:** ~Rmb15bn mortgage interest subsidies, PSL and Rmb250bn LGSB funding for "Six Networks," plus Rmb700bn PBoC relending for tech and SMEs.

Source: CEIC, Wind, Morgan Stanley Research

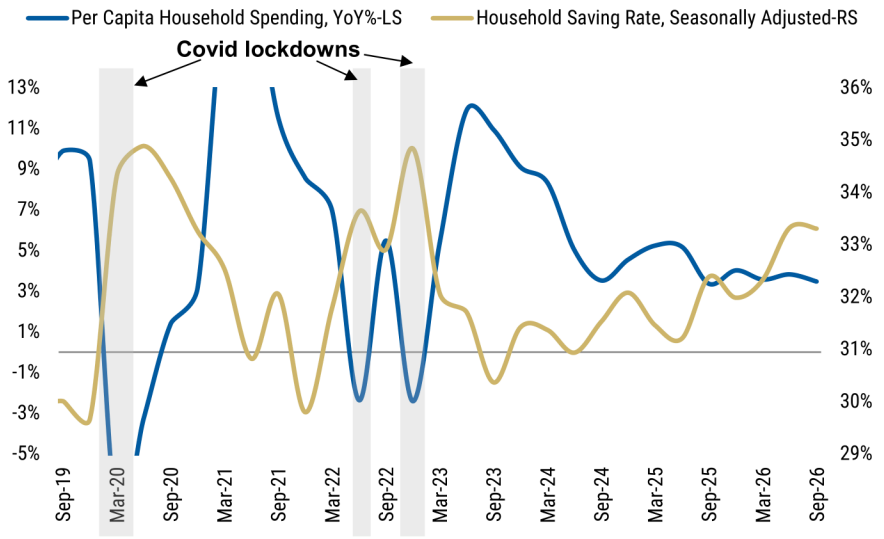
Economic Outlook

But Insufficient to Break the Deleveraging Trap

Accelerated household deleveraging



Balance sheet repair is being paid for, in part, out of consumption

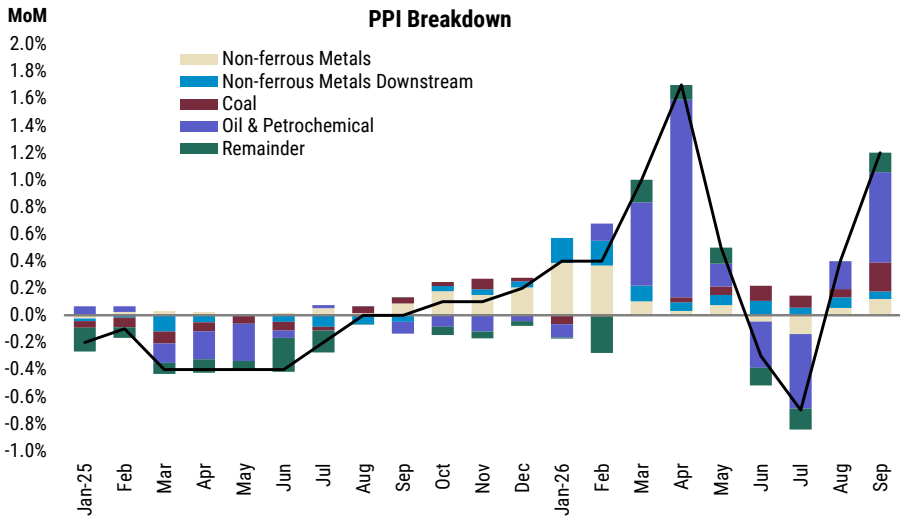


Source: CEIC, Morgan Stanley Research

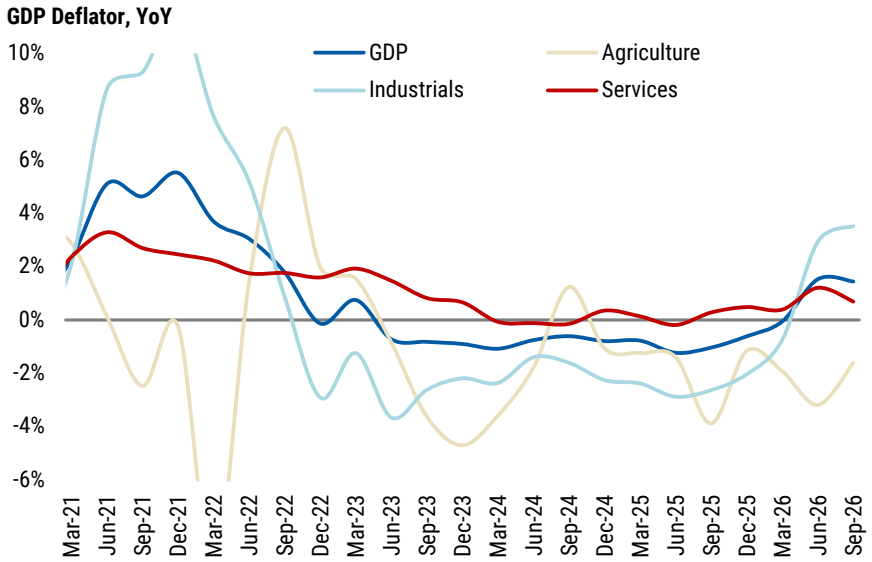
Economic Outlook

Deflationary Pressures Lingering

Sept. PPI beat, but on intensified imported inflation



Moderating service sector GDP deflator a reflection of consumption demand weakness

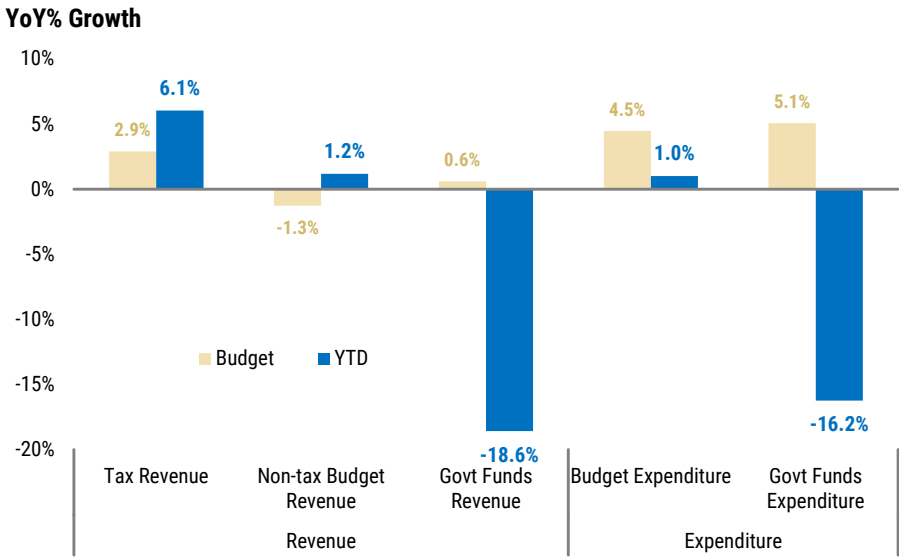


Source: CEIC, Morgan Stanley Research estimates.

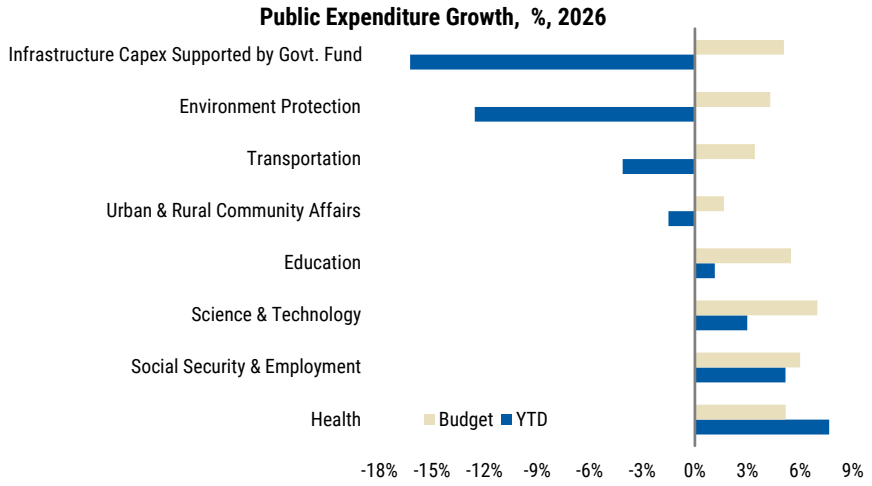
Economic Outlook

Understanding the Slow Fiscal Rollout YTD

Modest improvement in tax revenue insufficient to offset continued land sales slump



Slow infrastructure budget rollout, relatively faster deployment on social welfare spending

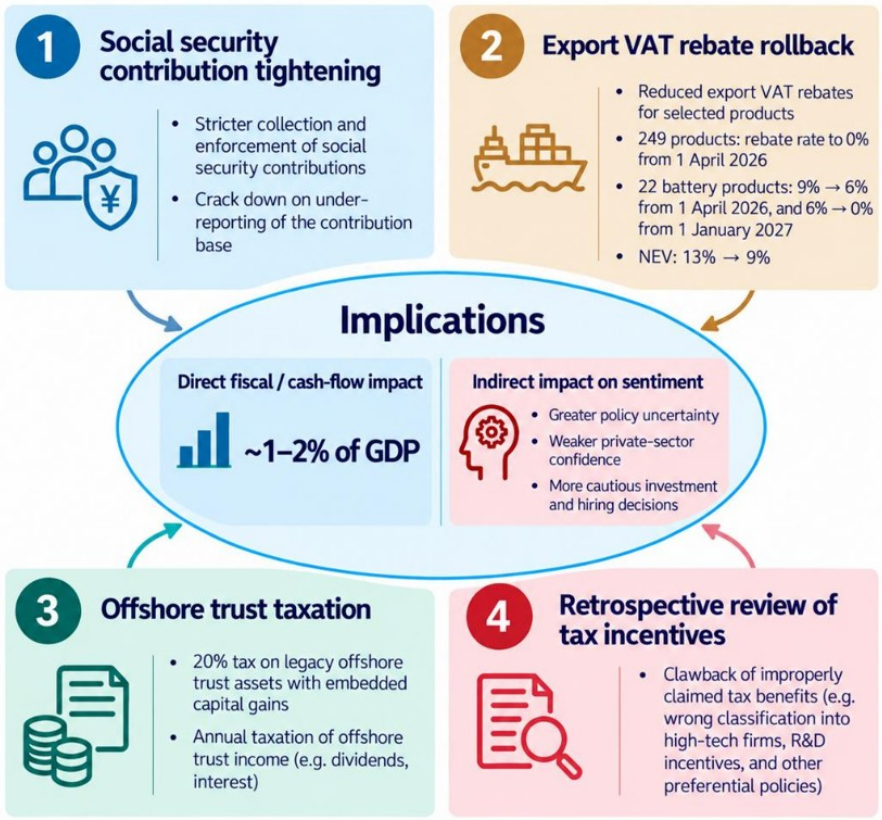


Source: CEIC, MoF, Morgan Stanley Research estimates.

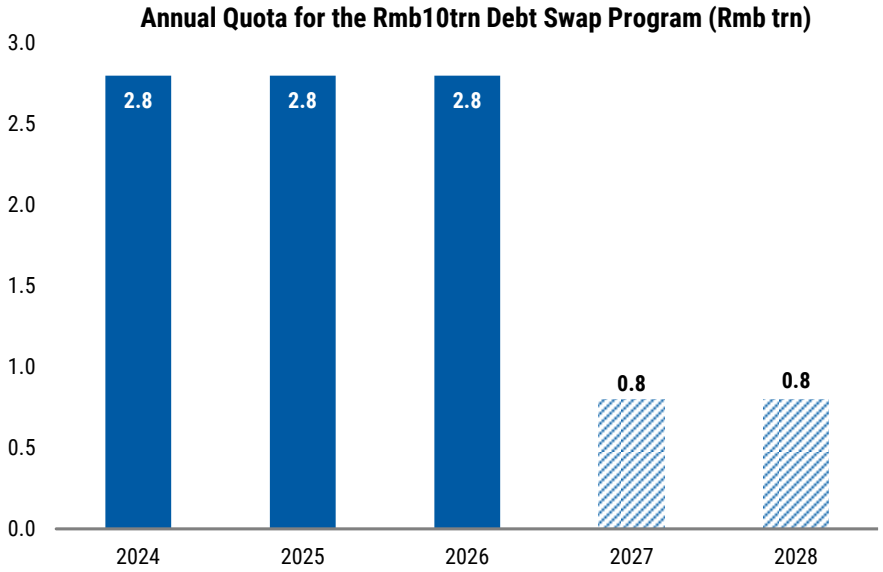
Economic Outlook

Fine-tuning Would Not Reverse Broader Tightening Absent A Deeper Policy Overhaul

Several tightening forces remain intact



The next pressure point is 2027 local-government financing



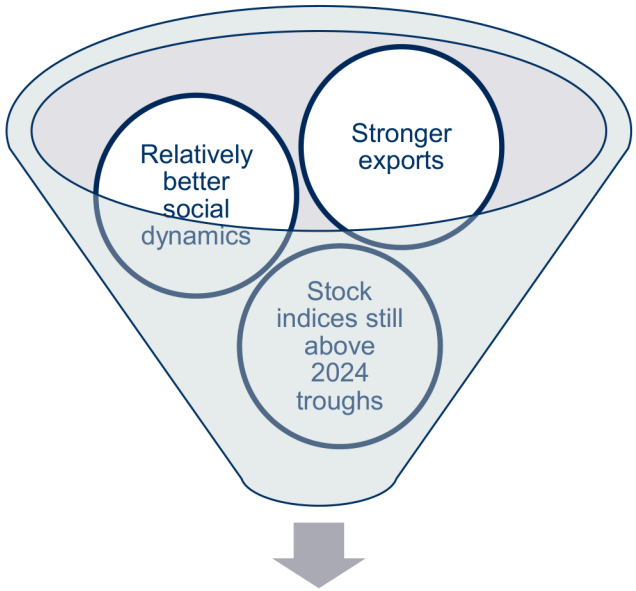
Potential incremental local govt. debt relief measures: Bloomberg reported that PBoC may set up a new relending facility to help LGFV settle unpaid bills

Source: CEIC, Morgan Stanley Research

Economic Outlook

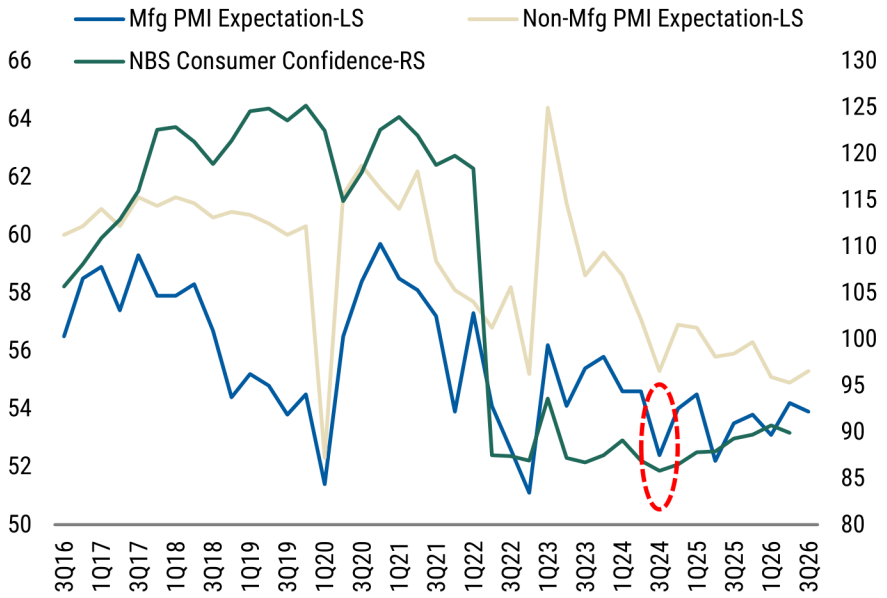
Why Not More Stimulus?

Different dynamics vs. Sep-2024



Not 9.24 style stimulus

Social dynamic indicators are above their trough

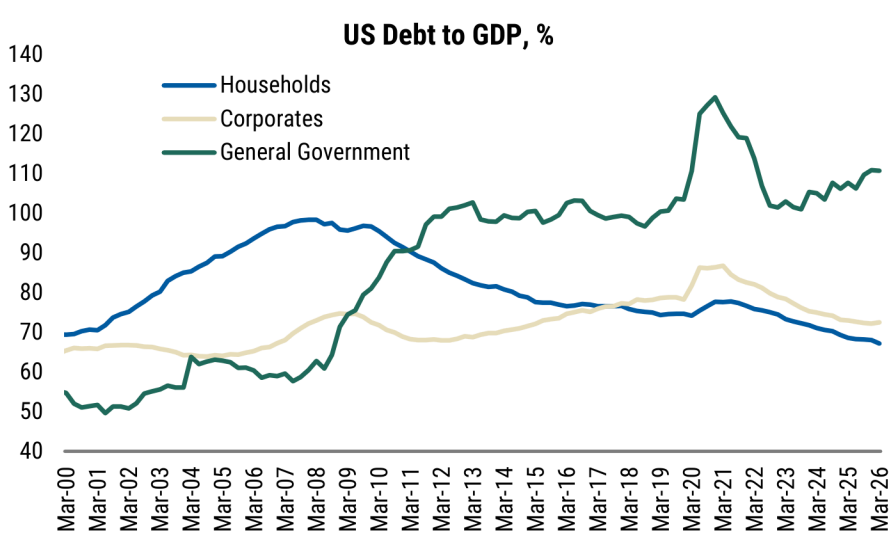


Source: CEIC, Morgan Stanley Research

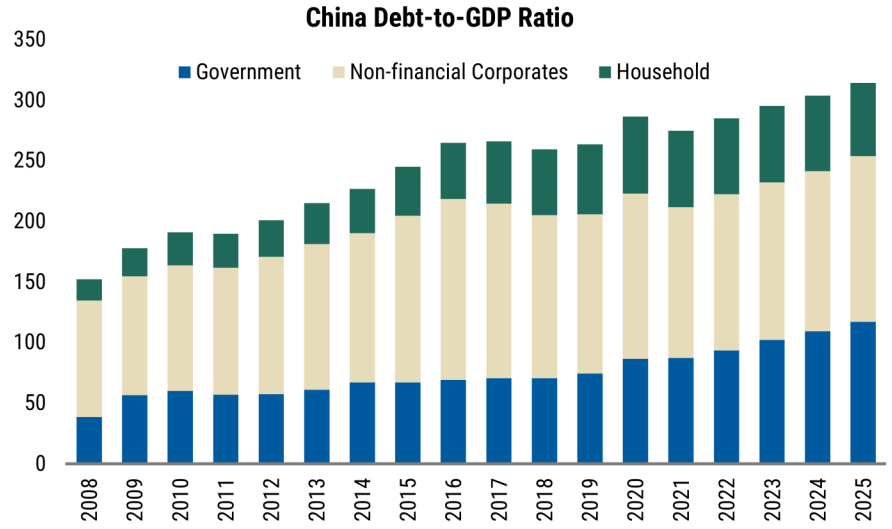
Economic Outlook

Someone Needs to Lever Up

US post-GFC experience: private sector deleveraging met with public-sector re-leveraging



China entered the currency deleveraging cycle with less fiscal headroom than the US in 2008



Source: Haver, Wind, Morgan Stanley Research

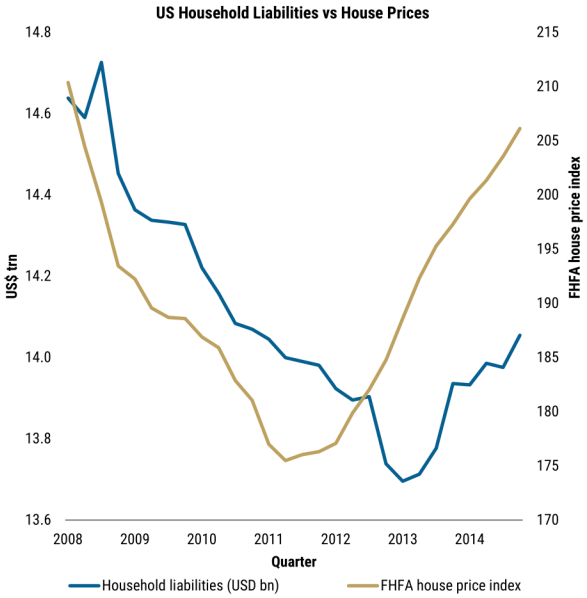
Economic Outlook

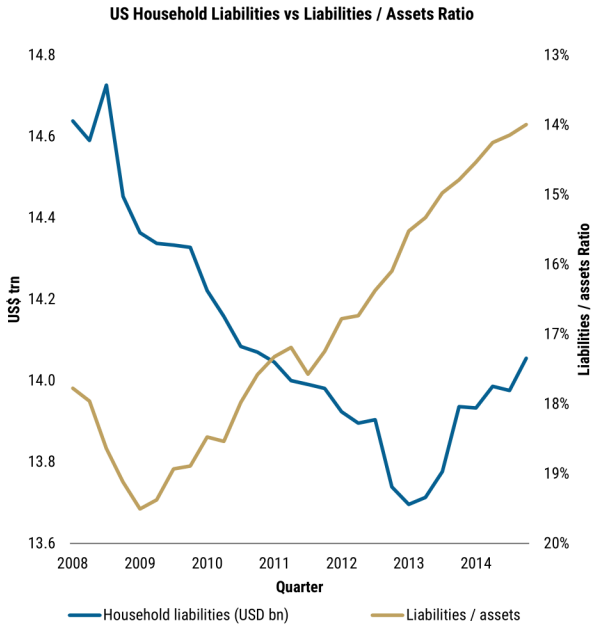
US Household Deleveraging Took Five Years Despite Active Public Balance Sheet Expansion

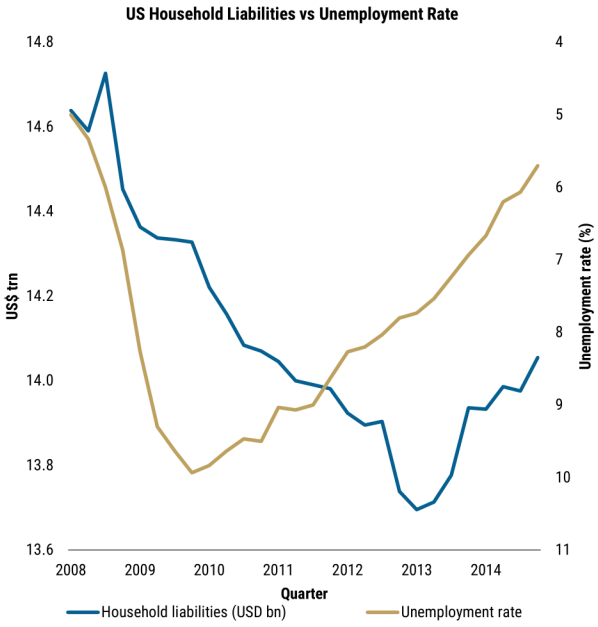
Post GFC, US households started to add debt 7 quarters after housing price bottomed….

…16 quarters after Liability/Asset ratio improved…

…and 13 quarters after job market stabilized







Source: Haver, Morgan Stanley Research

Economic Outlook

Gradual Shift to Lowflation Possible from 2028, but Decisive Reflation Remains Unlikely

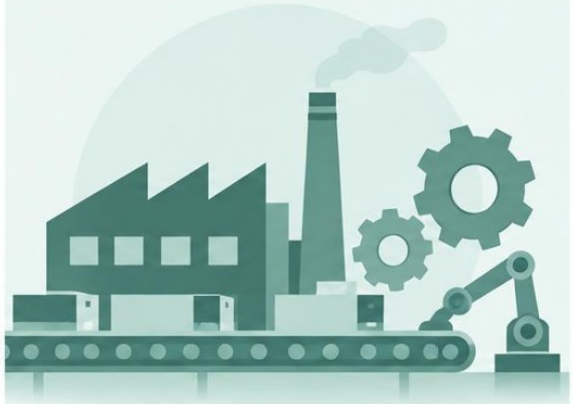
1 Housing market stabilizes in tier 1–2 cities from 2H27

As supply contraction and demand adjustment run their course – ceasing to be a deflationary drag rather than becoming a growth driver.



2 Industrial capacity utilization returns to healthier levels

In the next 2–3 years, but the recovery is likely to be much longer and more gradual than the 2016–17 cycle, given limited consumption/housing stimulus and more pervasive overcapacity problems.



3 Industrial profit margin improves over the medium term

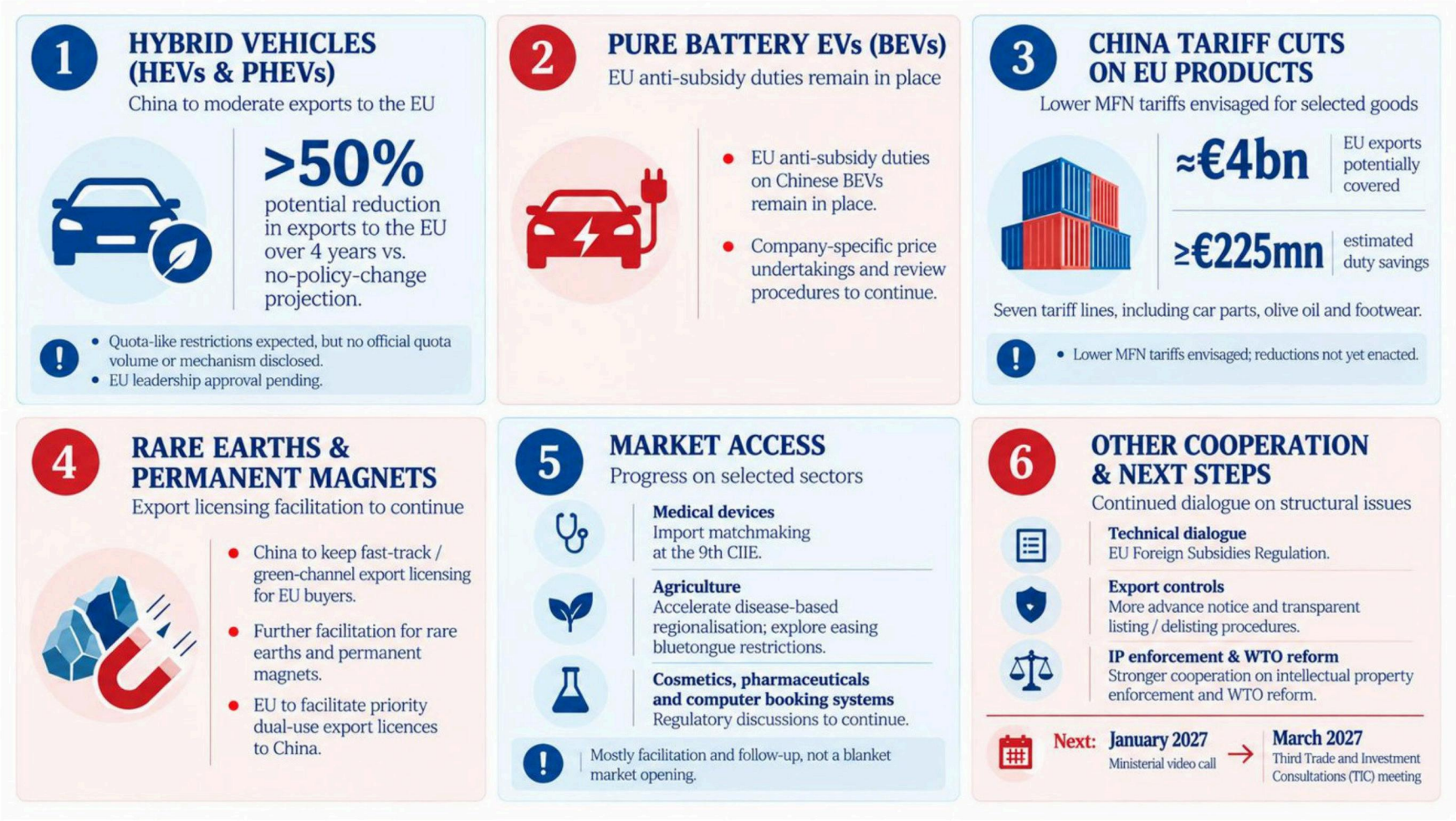
We expect margins to climb toward ~8% by 2035 from ~5% in 2025, driven by a rotation up the value chain, globalization of competitive Chinese leaders, and an economy-wide productivity lift from Industry 5.0.



Source: CEIC, CRIC, Morgan Stanley Research. For more details, kindly see China's Emerging Frontiers: China's Next Industrial Revolution (9 Sep 2026)

Geopolitics: China-EU

Managed Adjustment in Trade Tensions

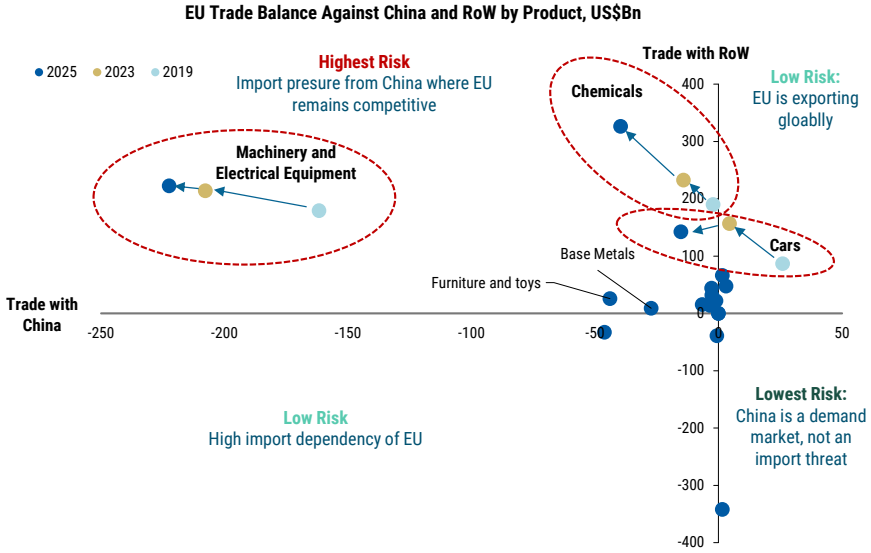


Source: European Council, Morgan Stanley Research

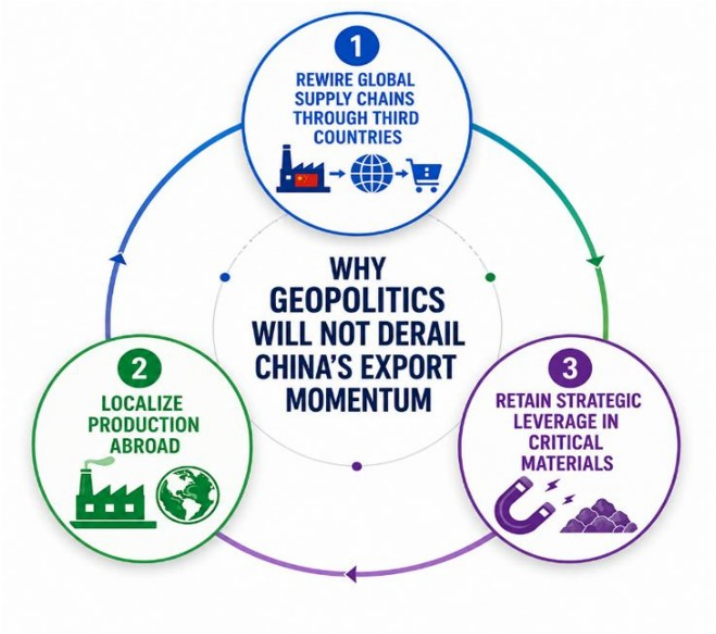
Geopolitics: China-EU

Future Path: Navigating Preferences, Dependencies, And Choke Points

Potential China-EU trade pressure points



Trade barriers may reshape China's export routes, but not derail its momentum



Source: CEIC, UN Comtrade, Morgan Stanley Research.

Geopolitics: China-US

US-China Presidential Meeting: Managed Competition…

Key outcomes from Trump-Xi meeting

1 A constructive, stable China–US relationship



Build a constructive and stable China–US relationship based on respect, fairness and equality.

2 Mutual support for APEC and G20



Support each other in hosting the APEC Leaders' Meeting and the G20 Leaders' Summit, and intend to attend each other's events.

3 Iran nuclear commitment and freedom of navigation



Iran should not develop nuclear weapons, and no country or institution should levy transit fees on international waterways.

4 Trade and economic cooperation



Recognize the positive role of the China–US economic and trade consultation mechanism, including establishing a Trade Council, agreeing on US$30 billion equivalent tariff cuts, and extending the outcomes of the Kuala Lumpur consultations.

5 Counter-narcotics enforcement cooperation



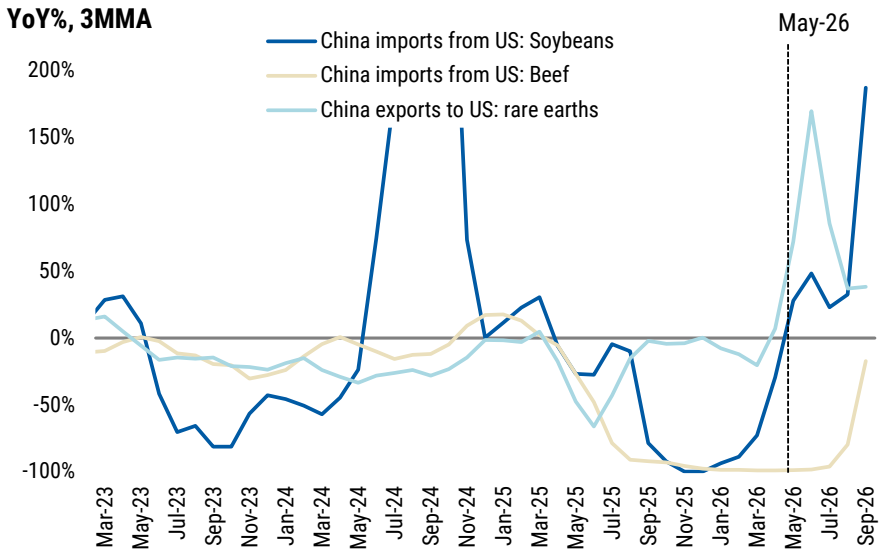
Achieve visible results in counter-narcotics cooperation, with multiple joint cases on new psychoactive substances and precursor chemicals, and dozens of suspects arrested in both countries.

6 China–US AI dialogue



Establish a China–US AI dialogue to exchange views on risks and benefits. The next dialogue will be held in November 2026, and a communication channel for AI-related incidents will be set up.

Some normalization in US-China trade ties since the May presidential meeting

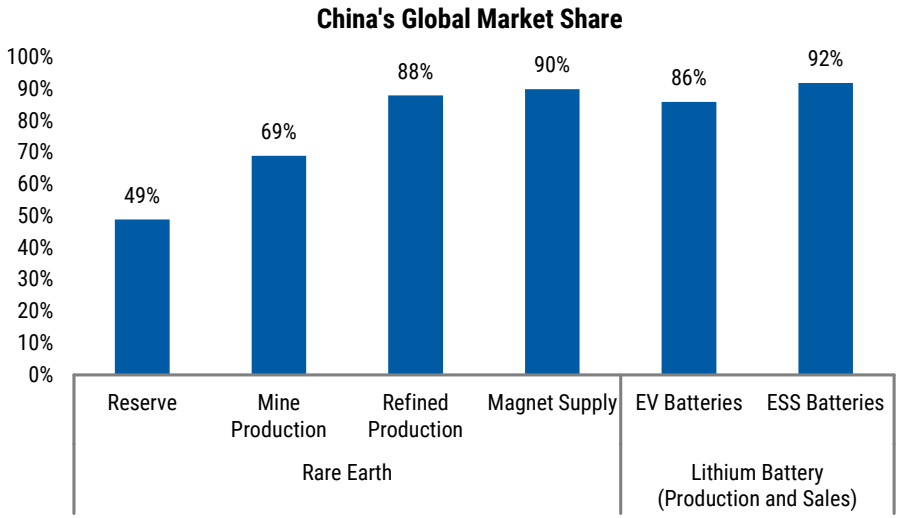


Source: CEIC, government websites, Morgan Stanley Research

Geopolitics: China-US

…Underpinned By Chips/Rare Earths Equilibrium

China's global dominance in rare earths and lithium batteries



How durable is China's dominance?

RE Refined Production
Tech complexity

RE Mine Production:
>3-5 years to expand capacity significantly

Lithium Battery
China has complete value chain, rapid tech iteration and scale/cost advantages



RE Reserve:
No dominance

RE Refined Production
Bottlenecks on tech know-how and pollution

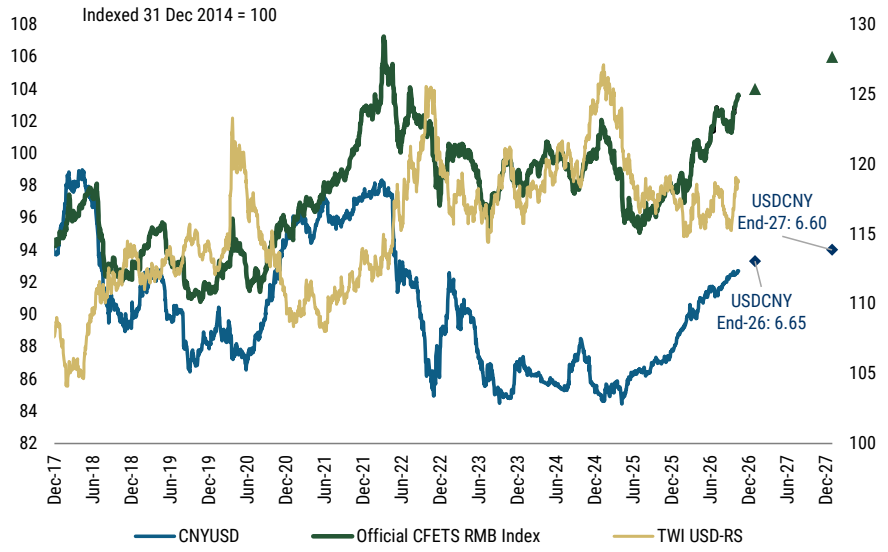
More Difficult to Replicate

Source: US Department of Energy, company data, EV tank, SNE, Morgan Stanley Research.

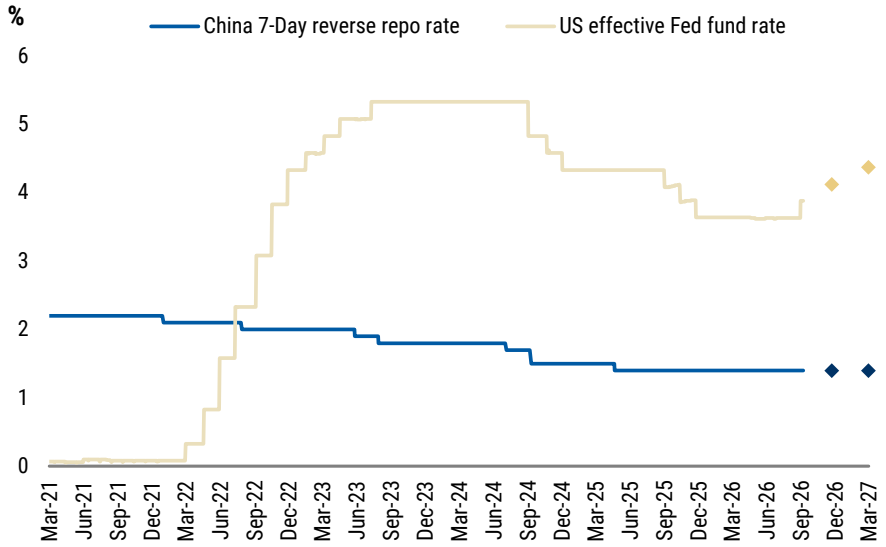
RMB

Modest Appreciation in RMB

We mark our USD/CNY forecast stronger, to 6.65 by end-2026 and 6.60 by end-2027



China-US rate differentials and our global FX team's more constructive view of USD cap RMB gains



PBoC communication suggests tolerance for orderly, market-driven appreciation

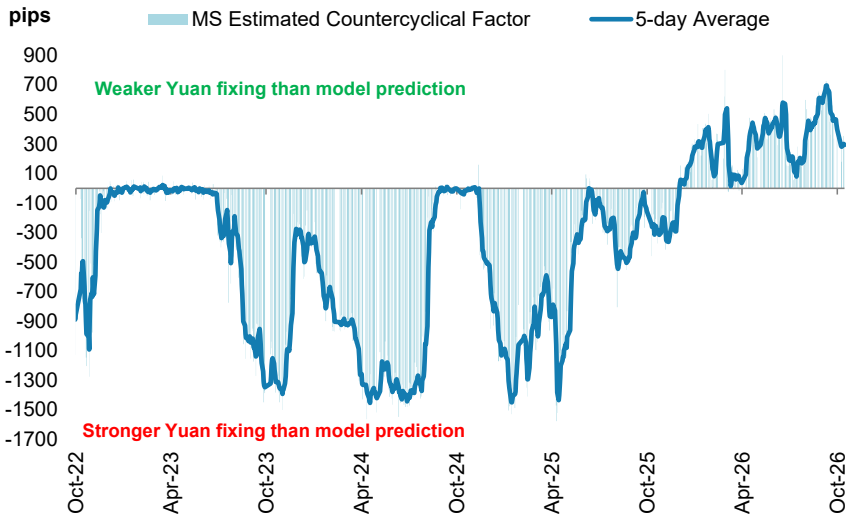
- Exporters have **greater incentive to convert accumulated FX proceeds** as expectations shift towards a firmer RMB
- **Tighter management of outbound capital flows** should be an added tailwind
- China's **supply-chain competitiveness** remains structurally supportive

Source: CEIC, Bloomberg, Morgan Stanley Research estimates

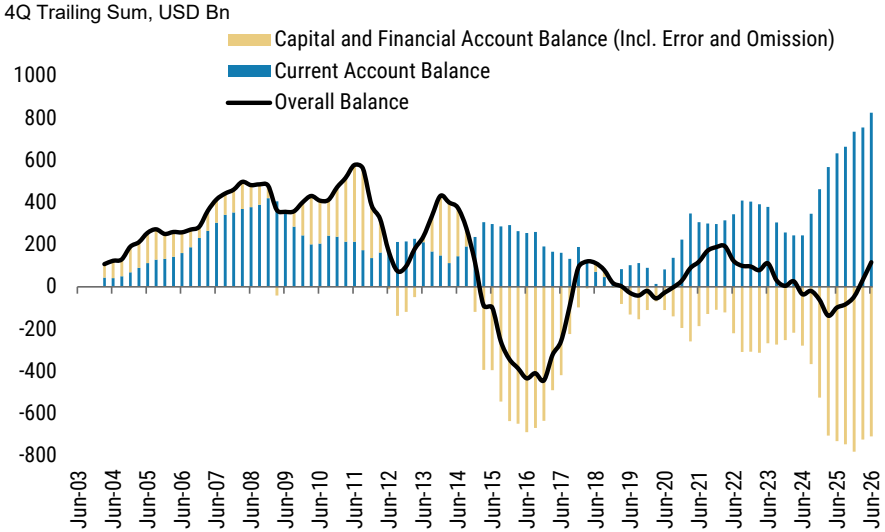
RMB

RMB "Fair" Valuation – Macro Context Is Broader than Just the Current Account

A weak RMB has not been the policy tool behind China's export strength



A record current-account surplus does not have to produce a commensurately stronger currency

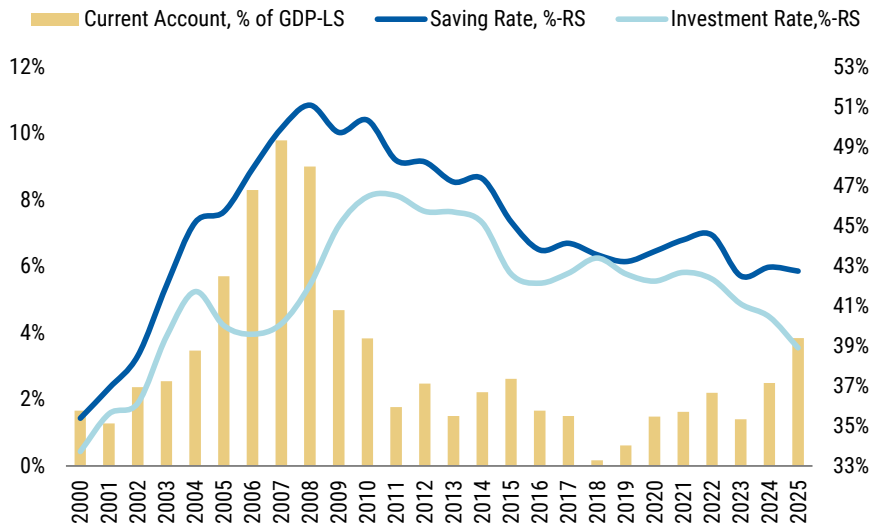


Source: CEIC, Morgan Stanley Research

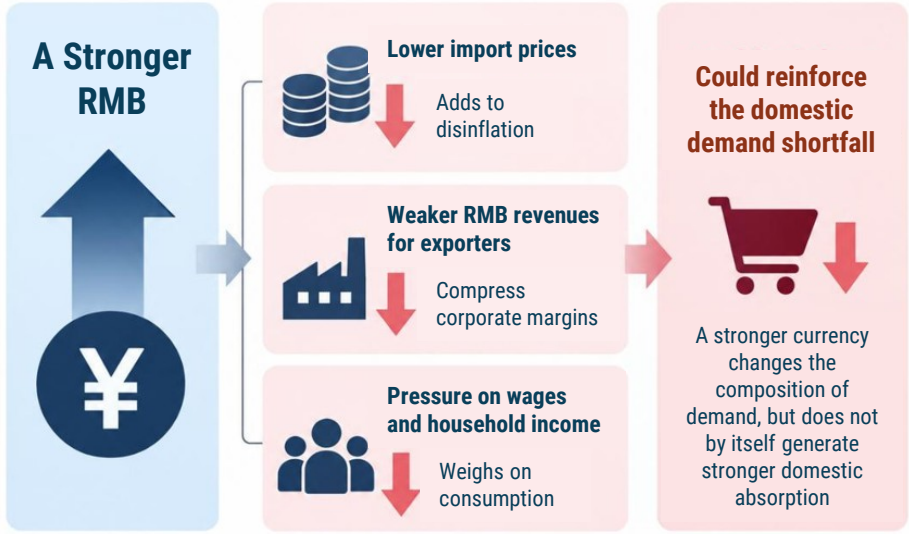
RMB

Nor Is RMB Beijing's Preferred Tool for Economic Rebalancing

High savings, weak investment, and lower rates drive larger external surpluses and weak real exchange rate



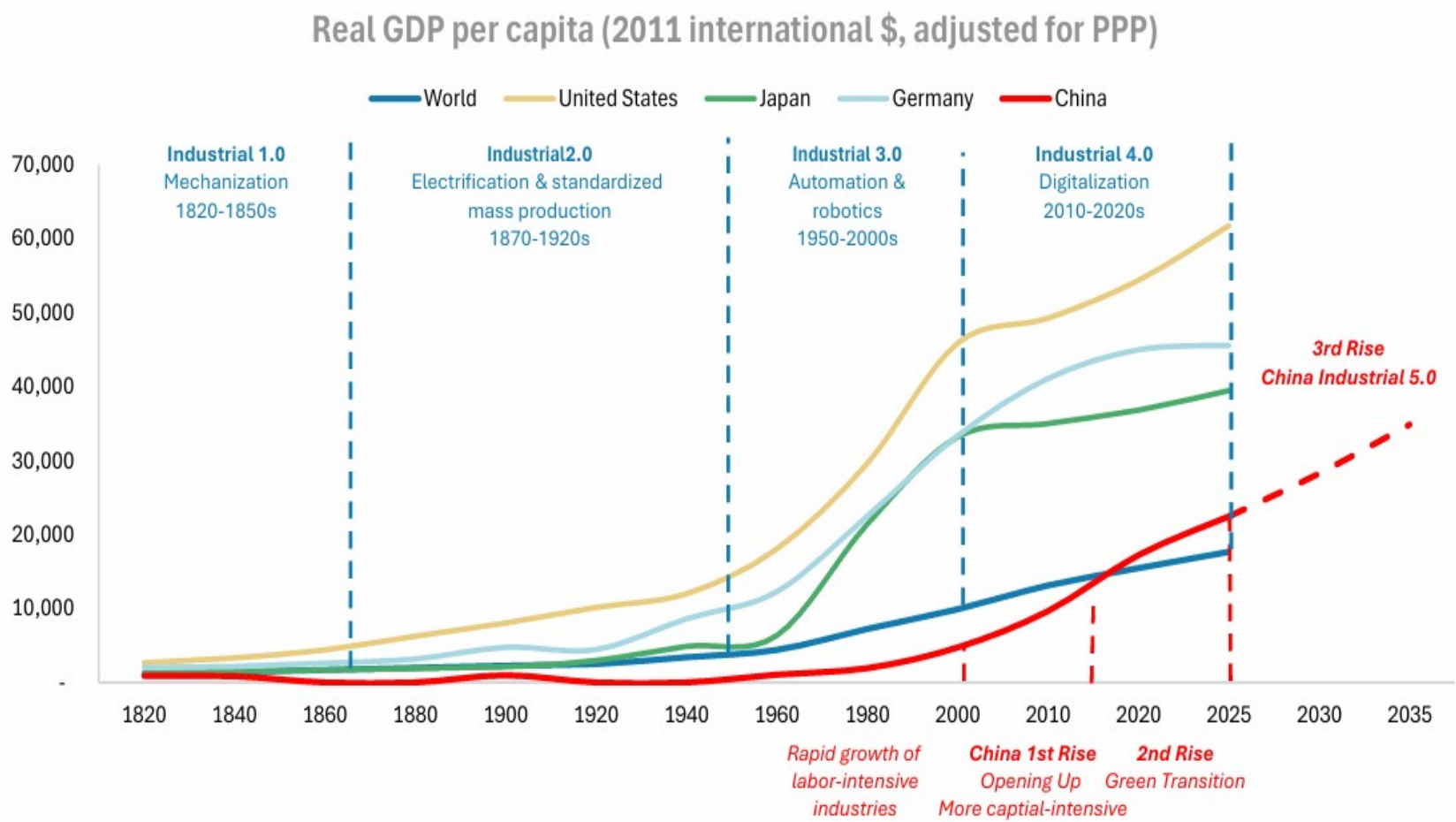
Engineering rapid RMB appreciation could add to disinflation at a time when domestic demand remains soft



Source: CEIC, Morgan Stanley Research

China Industry 5.0

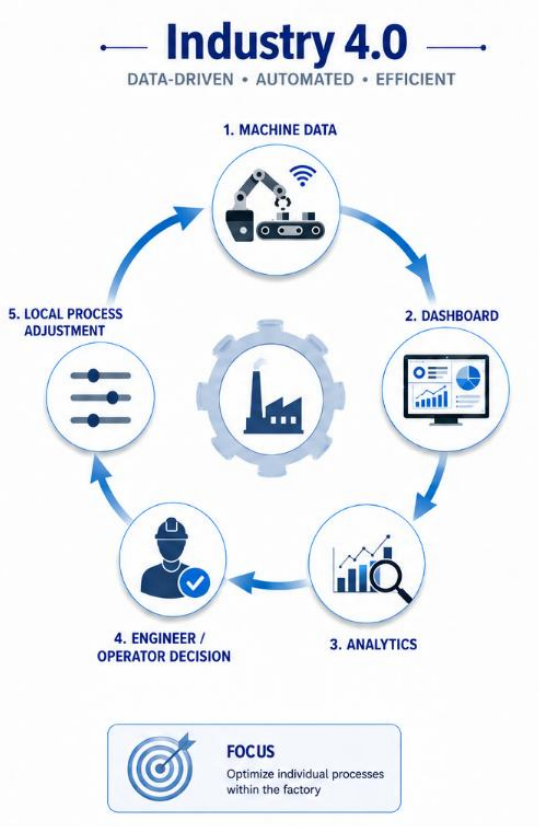
China Appears Poised to Lead Industry 5.0

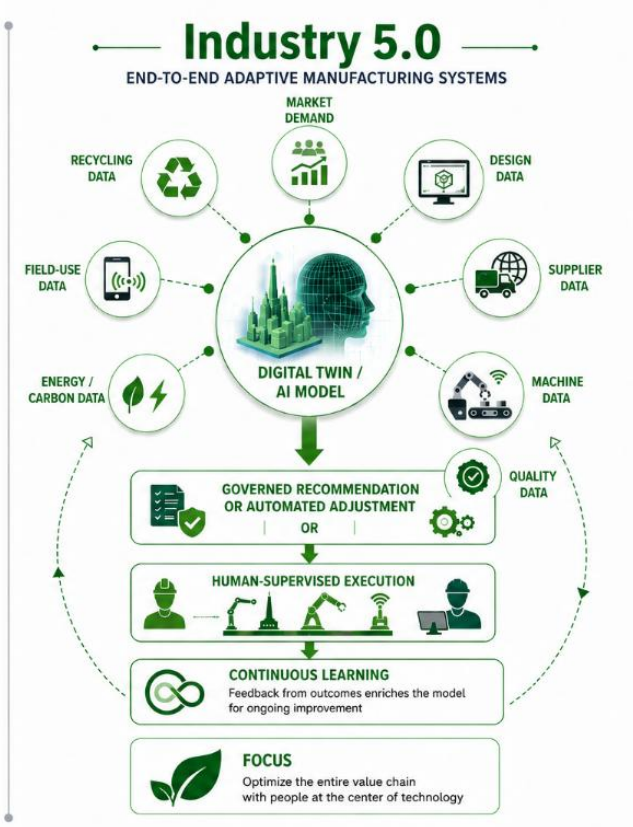


Source: Madison Project Data, IMF, Morgan Stanley Research estimates.

China Industry 5.0

Manufacturing Workflow: From Automated to Adaptive





Why Is China Uniquely Positioned to Lead?

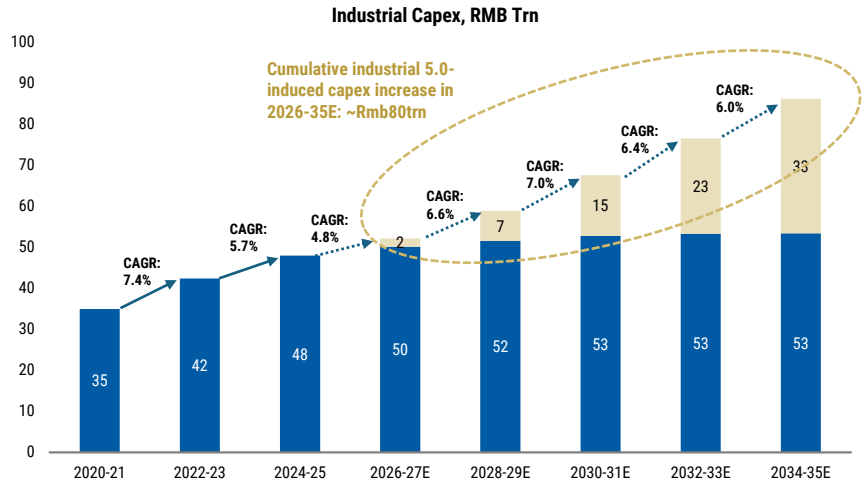
1	The largest addressable **manufacturing base**
2	A rapid **intelligent deployment base**
3	Policy is shifting from "digital factory" to "**industrial agent**"

Source: Morgan Stanley Research. For more details, kindly see China's Emerging Frontiers: China's Next Industrial Revolution (9 Sep 2026)

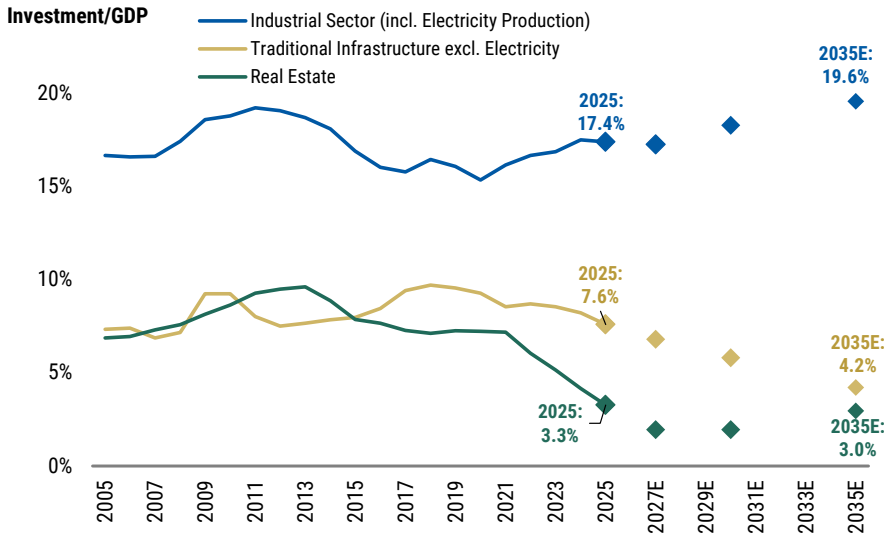
China Industry 5.0

Industry 5.0: A Long Capex Supercycle

Unlocking US$12trn additional industrial capex over next decade, though with a slow start…



…which would partly offset slower structural capex in property and traditional infrastructure

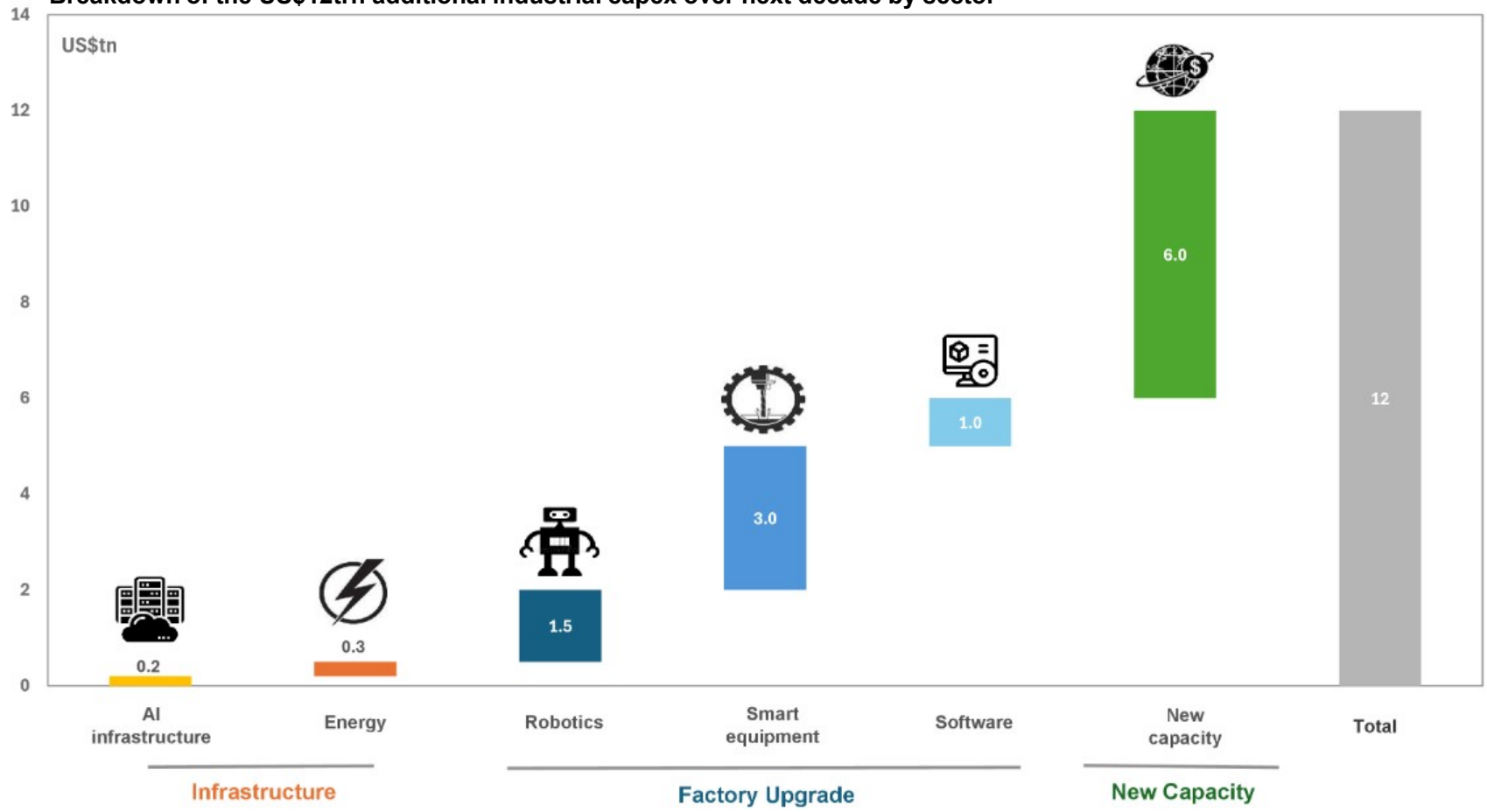


Source: Haver, Morgan Stanley Research (E) estimates

China Industry 5.0

Where to Invest?

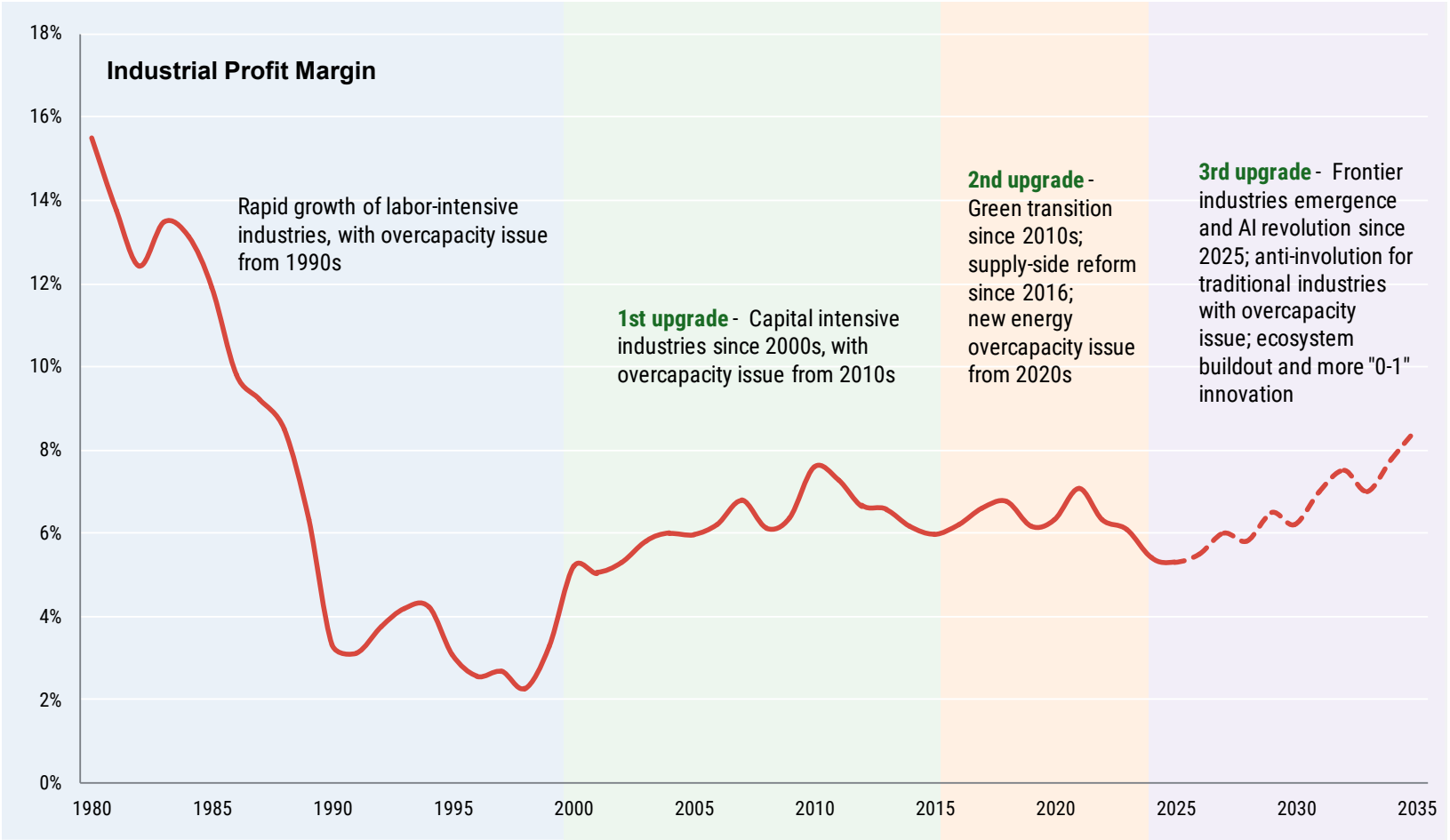
Breakdown of the US$12trn additional industrial capex over next decade by sector



Source: Morgan Stanley Research estimates. For more details, kindly see China's Emerging Frontiers: China's Next Industrial Revolution (9 Sep 2026)

China Industry 5.0

How Could China Benefit #1: Industrial Margin and ROE Recovery

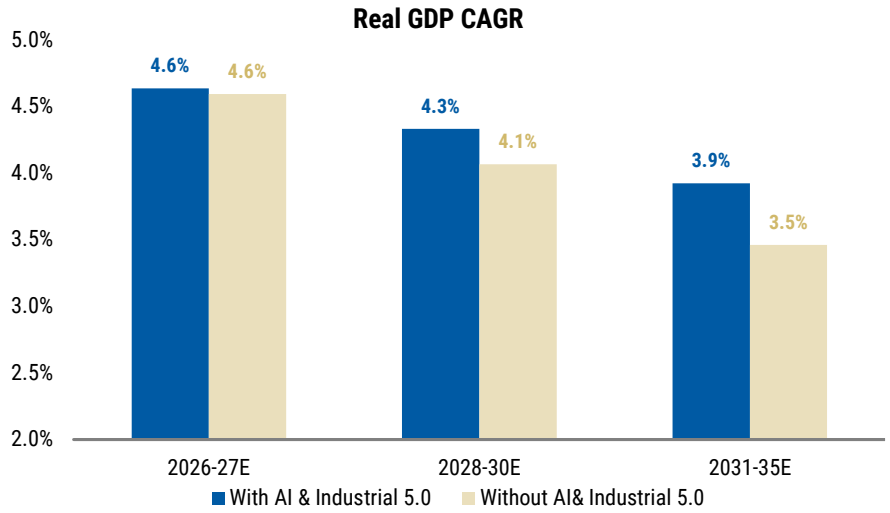


Source: NBS, Morgan Stanley Research estimates

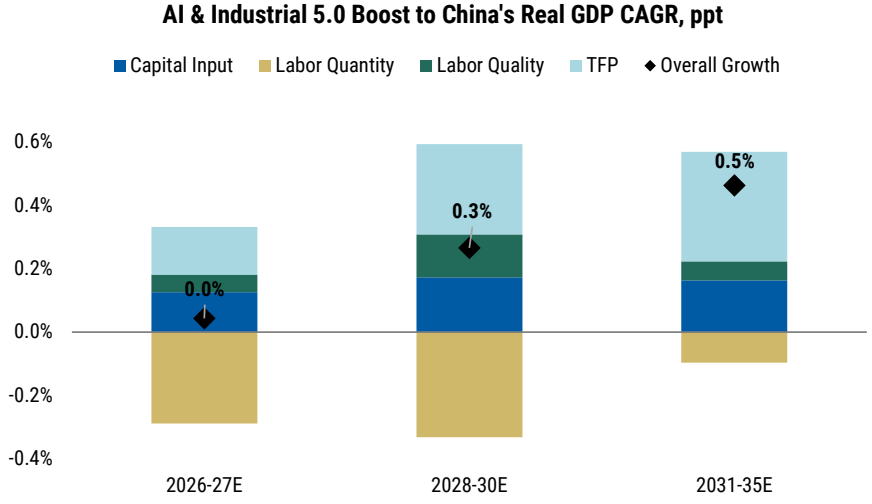
China Industry 5.0

How Could China Benefit #2: A Boost to Potential GDP

J-curve in AI & Industry 5.0 impact on China's potential GDP growth



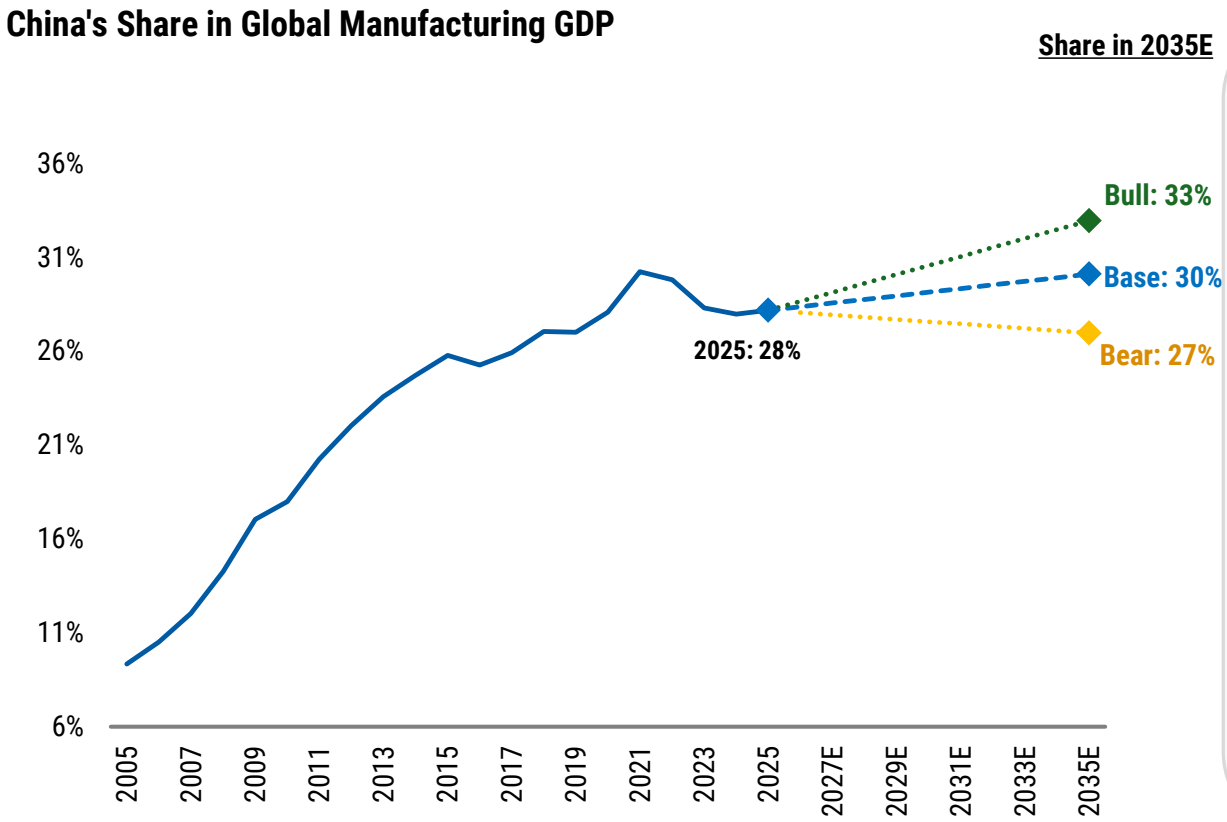
AI & Industry 5.0's boost to capex and productivity improvement to be more notable beyond the near term



Source: CEIC, Morgan Stanley Research (E) estimates

China Industry 5.0

How Could China Benefit #3: Higher Global Manufacturing Share



Bull / Bear Assumptions

BULL CASE | 33%

- More decisive social welfare reforms to unlock household savings for consumption, lifting domestic demand
- Major industrial AI breakthroughs to widen China's edge in cost, speed, and flexibility

BEAR CASE | 27%

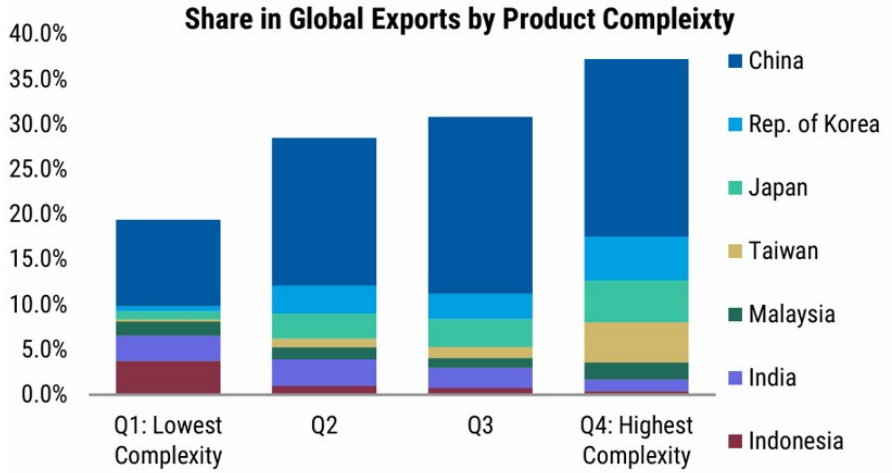
- More entrenched domestic deflation due to overly aggressive pro-cyclical fiscal consolidation and undisciplined AI/robotics build-out
- Broadened trade tensions vs. more trading partners, hampering transshipment

Source: Haver, Morgan Stanley Research (E) estimates

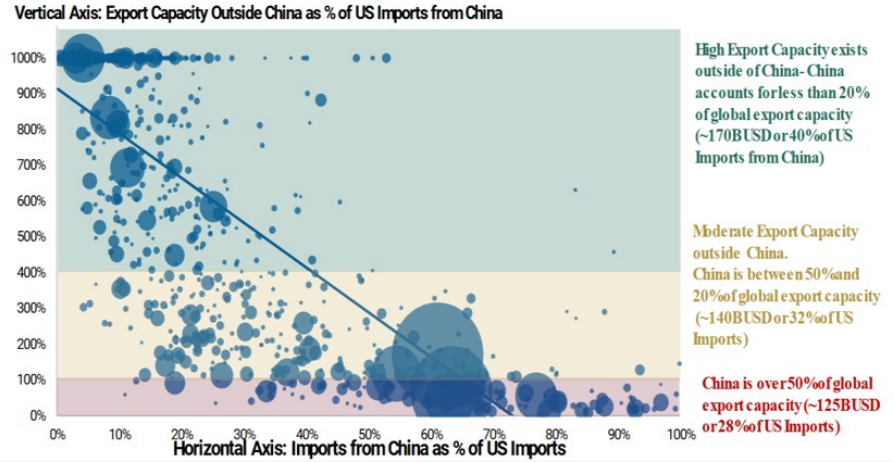
China Industry 5.0

Supply Chain Diversification Should Not Derail China's Manufacturing Share Gains

China has greater export capacity in high-complexity goods than all other major Asian economies combined



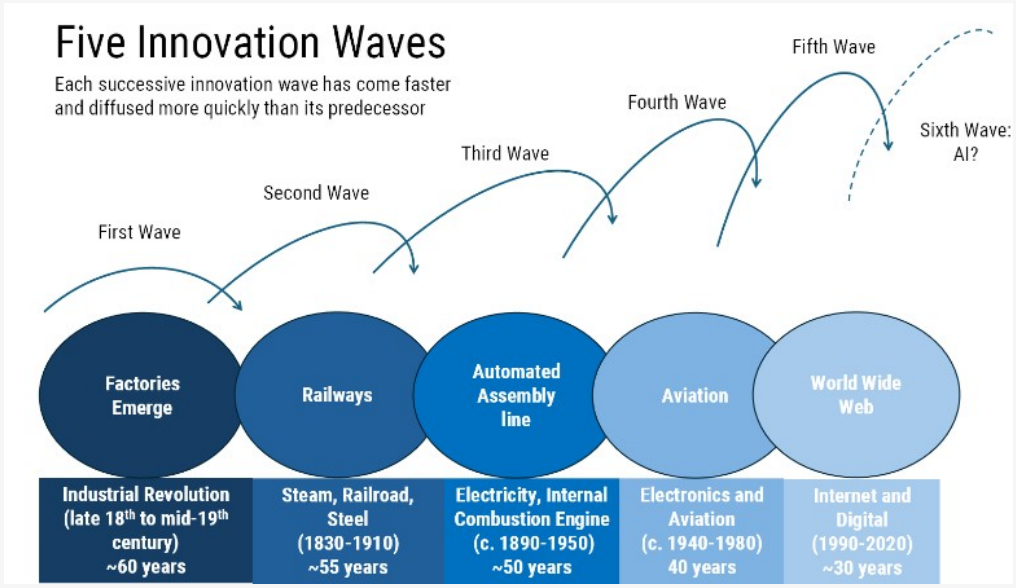
Less than half of US imports from China have alternative production capacity



Source: UN Comtrade, Growth Lab at Harvard University, USITC, Morgan Stanley Research

AI Diffusion

AI Impact: Lessons From The Five Innovation Waves



01 Productivity gains are likely

02 Labor Displacement Is Transitional

03 Boom-Bust Cycles Are Probable

04 Inequality Risks Are Elevated

05 Education and Re-skilling Will Be Decisive

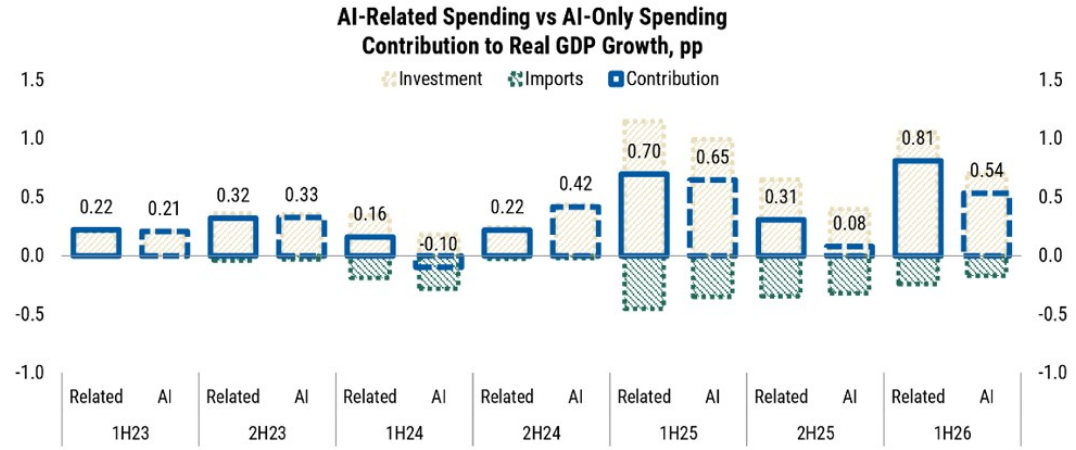
06 Policy Matters

Source: Morgan Stanley Research. For more details, kindly see Lessons from the Five Innovation Waves That Preceded AI (6 April 2026).

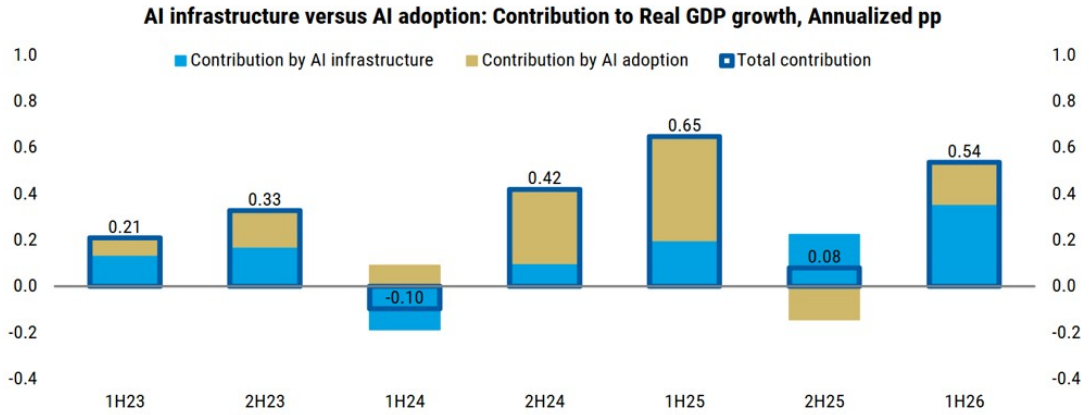
AI Diffusion

AI Investment Contribution to US GDP Growth

Contribution of AI-related spending to GDP growth



Decomposing the contribution of AI-only spending to growth into its infrastructure and adoption subcomponent

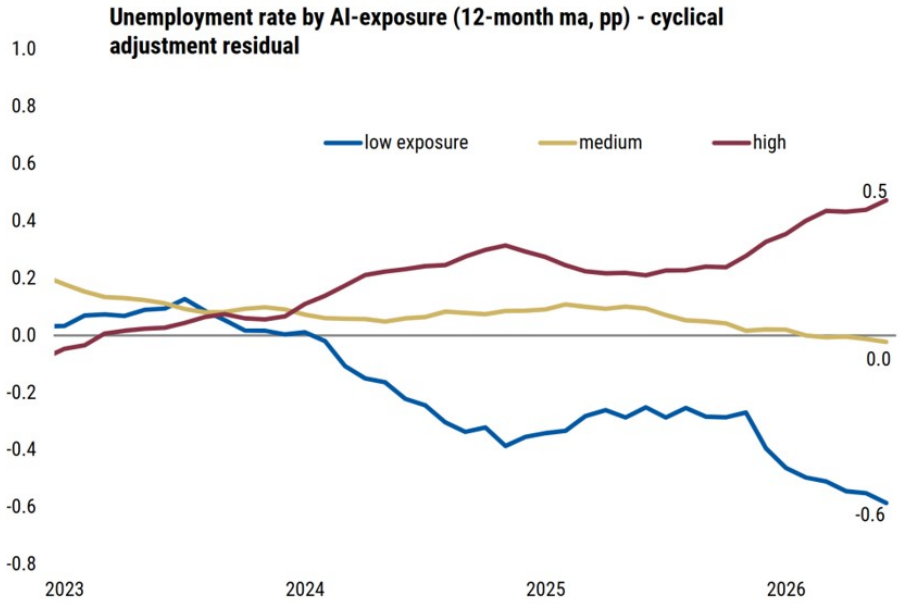


Source: BEA, Haver, Morgan Stanley Research. For more details, kindly see Building a better mousetrap: AI spending and its contribution to US GDP growth (7 Sep 2026)

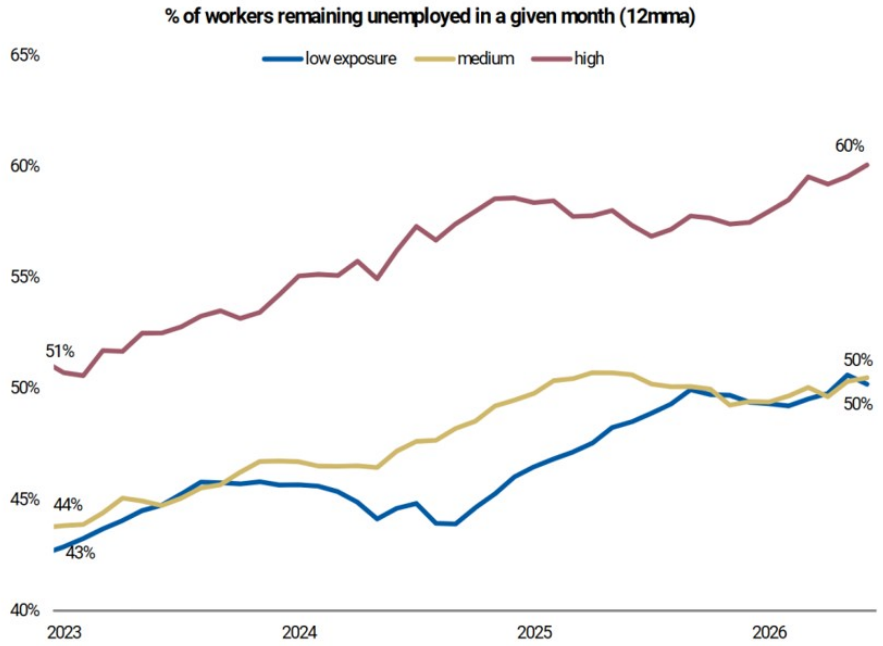
AI Diffusion

AI Labor Disruption: Still Modest, But Increasingly Visible

AI-related labor market disruption is becoming harder to ignore at the occupation level



High AI-exposed workers remain unemployed for longer

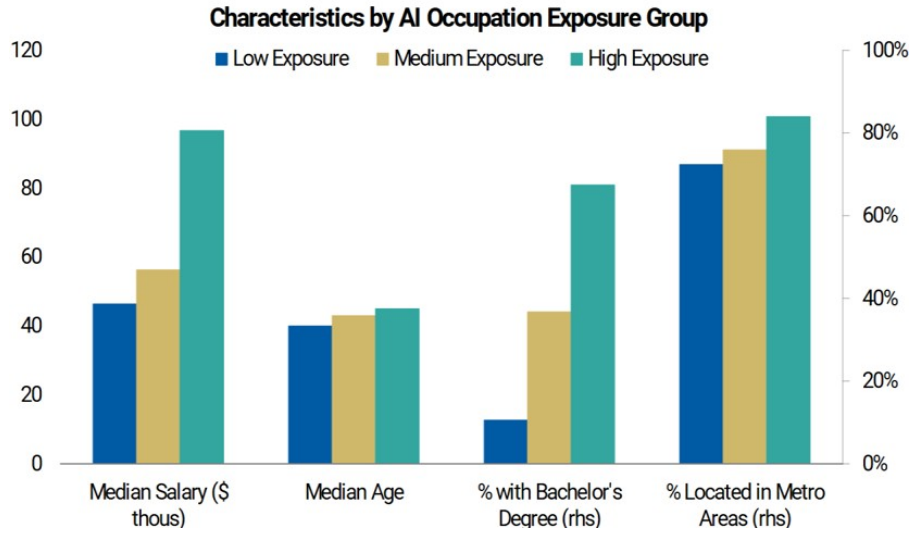


Source: IPUMS CPS (University of Minnesota), Morgan Stanley Research. For more details, kindly see AI Labor Disruption: Still Modest, but Increasingly Visible (3 Aug 2026).

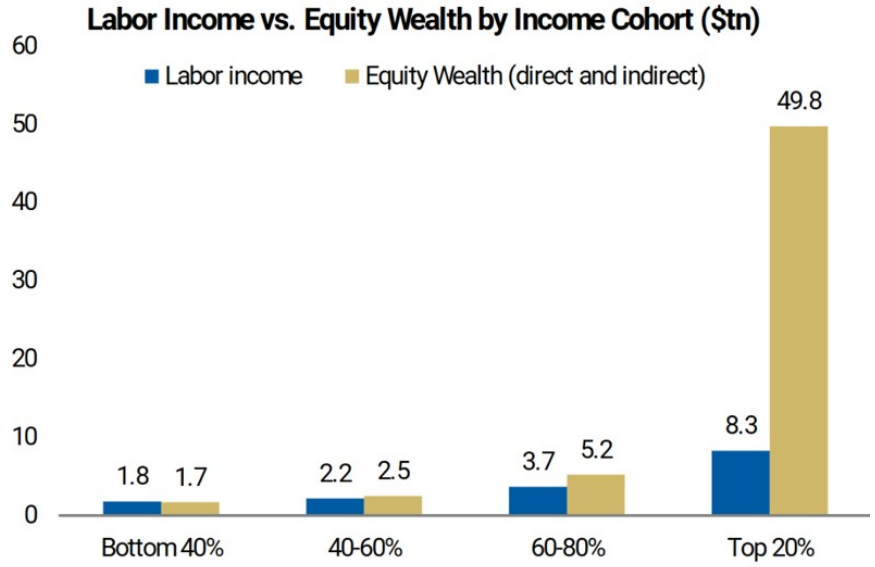
AI Diffusion

Affluent Consumers May Be Safer than Advertised

High-income, college-educated and urban households are most exposed to AI displacement…



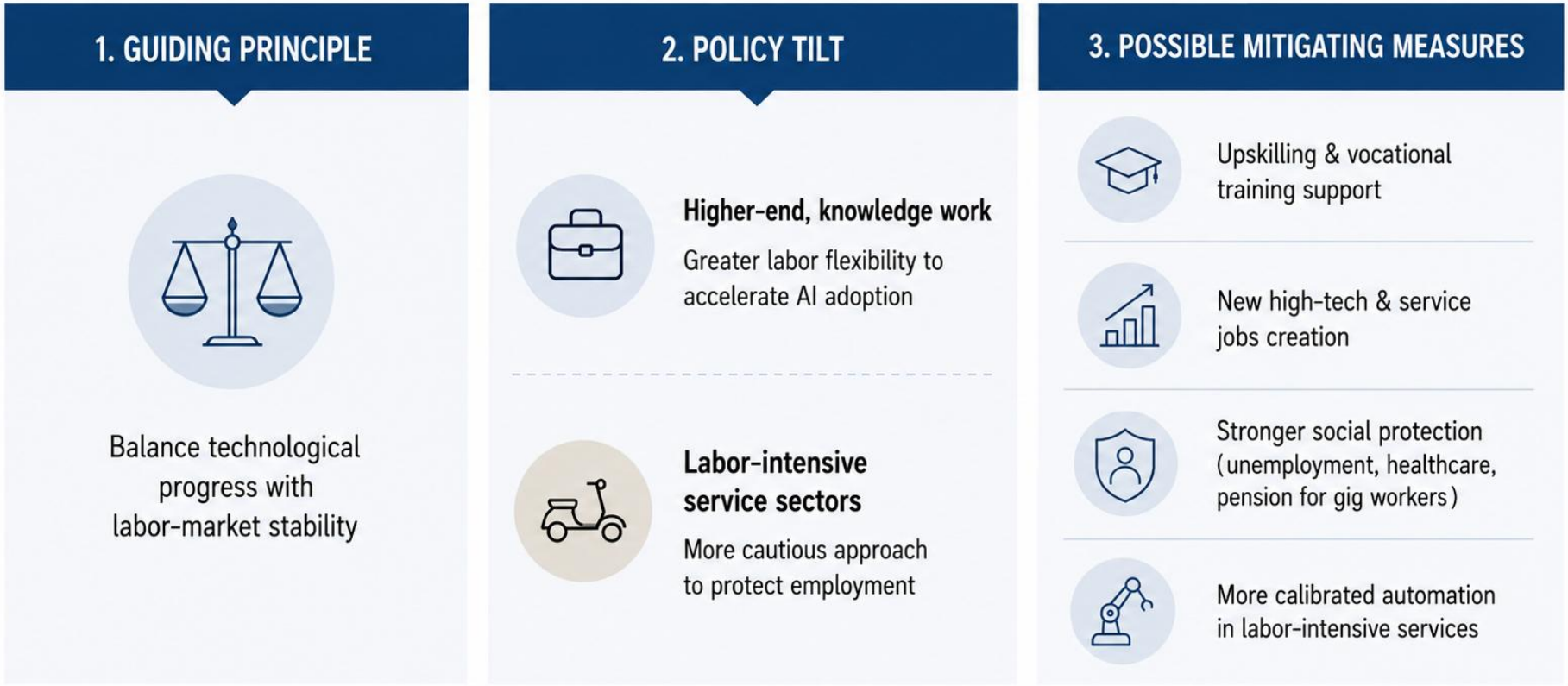
…as well as to potential AI gains: productivity-driven wage growth, task creation and wealth effects



Source: BLS, Federal Reserve Board, Haver, Morgan Stanley Research. For more details, kindly see Dispelling an AI Myth: Why Affluent Consumers May Be Safer Than Advertised (8 Sep 2026)

AI Diffusion

What to Expect on Policy Mitigation

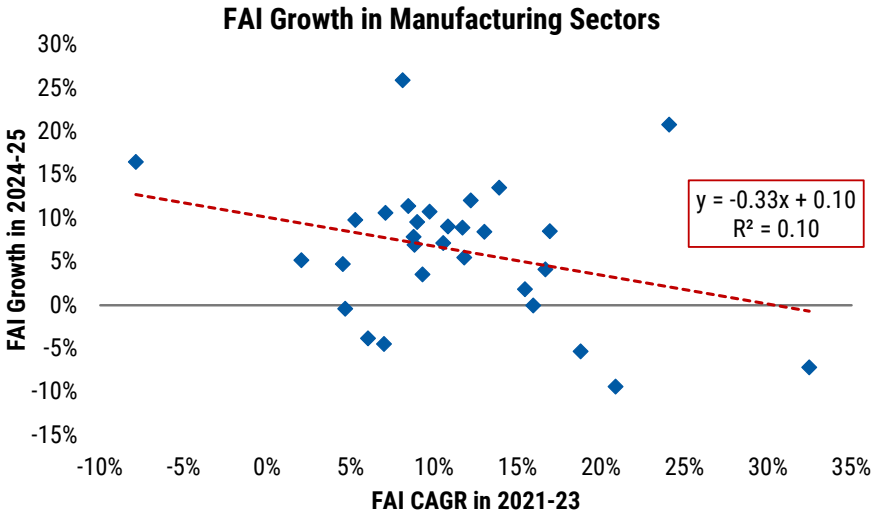


Source: Morgan Stanley Research.

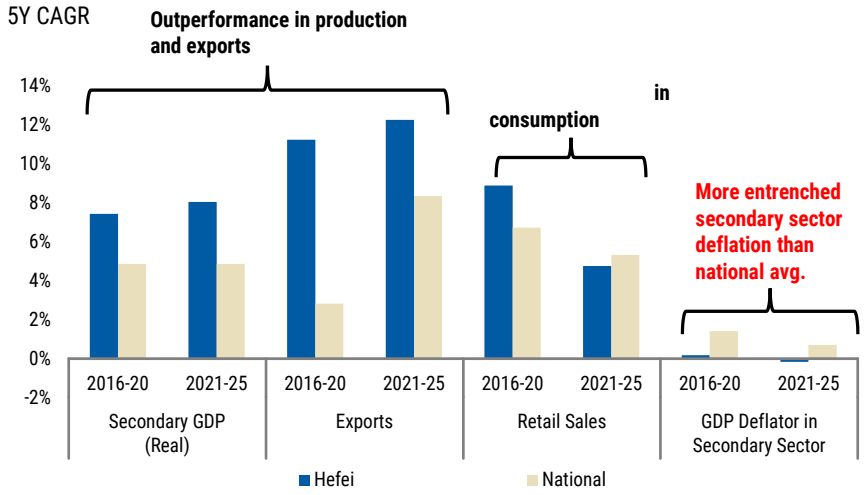
Gradual Rebalancing

Smarter Industrial Policy Alone May Not Narrow Supply-Demand Imbalances

Investment is rotating toward less oversupplied sectors…



…but even a successful model like Hefei is not immune to overcapacity and deflation



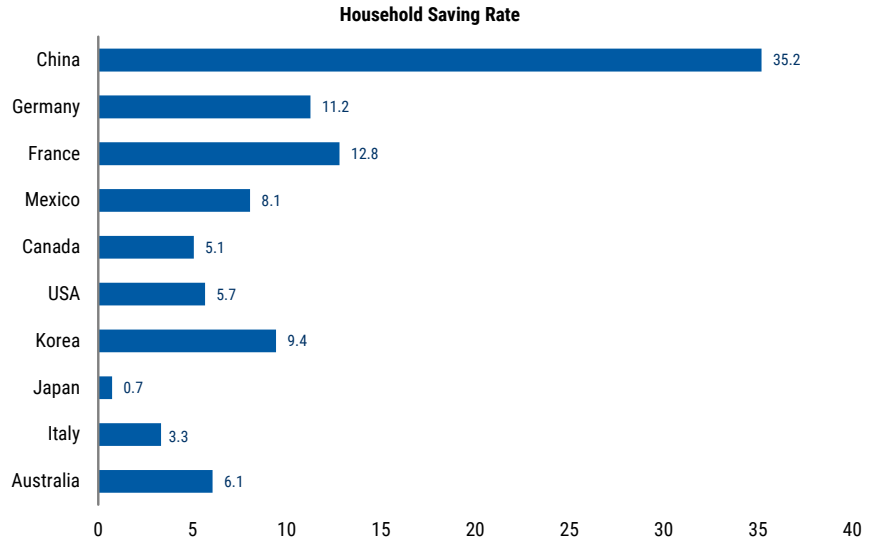
If many regions imitate the same surface tools — large upfront government seed capital and buildup of industrial parks, and focus on the same frontier sectors, it may compound the overcapacity problem nationwide

Source: CEIC, Morgan Stanley Research estimates.

Gradual Rebalancing

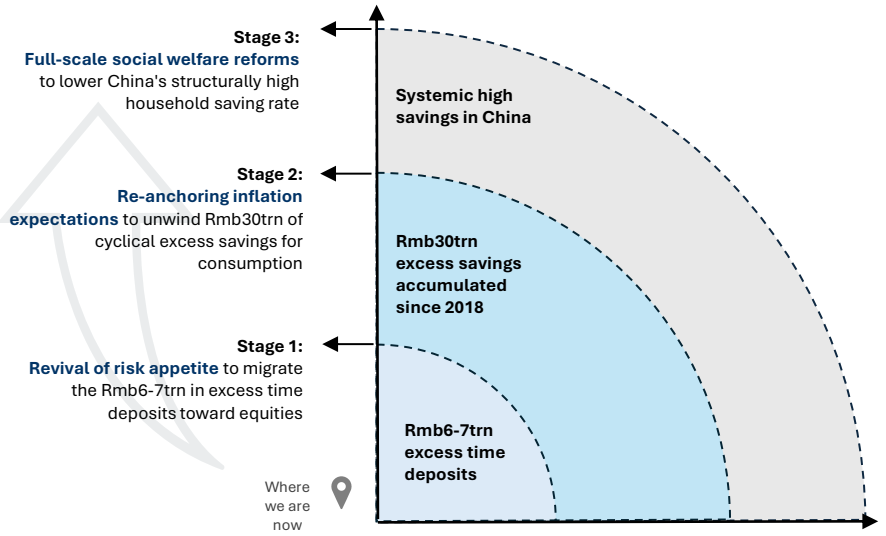
Pathway to Rebalancing: Unlock China's Household Savings…

China's household saving rate remains elevated



**2024 data for China, Germany, Canada and Italy. 2023 data for the others*

A three-stage roadmap to unwind household savings

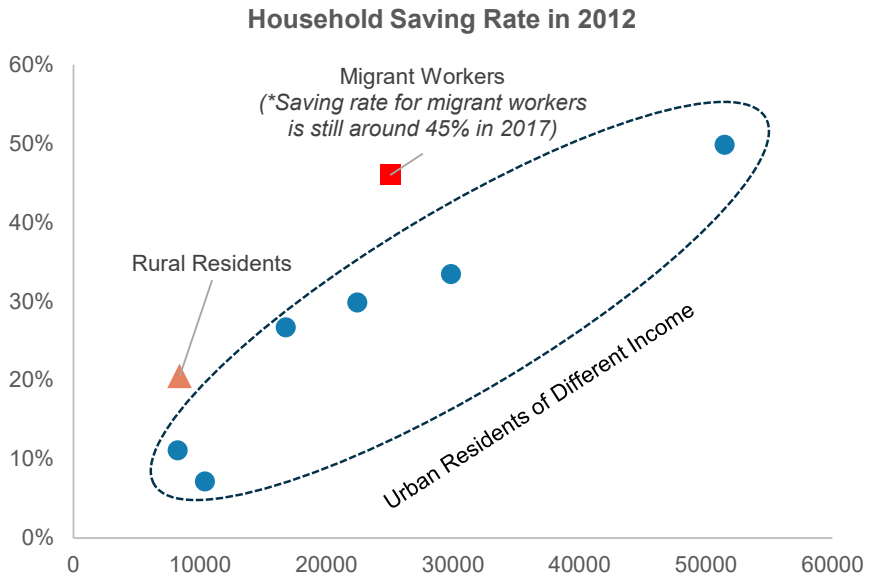


Source: Haver, OECD, Morgan Stanley Research.

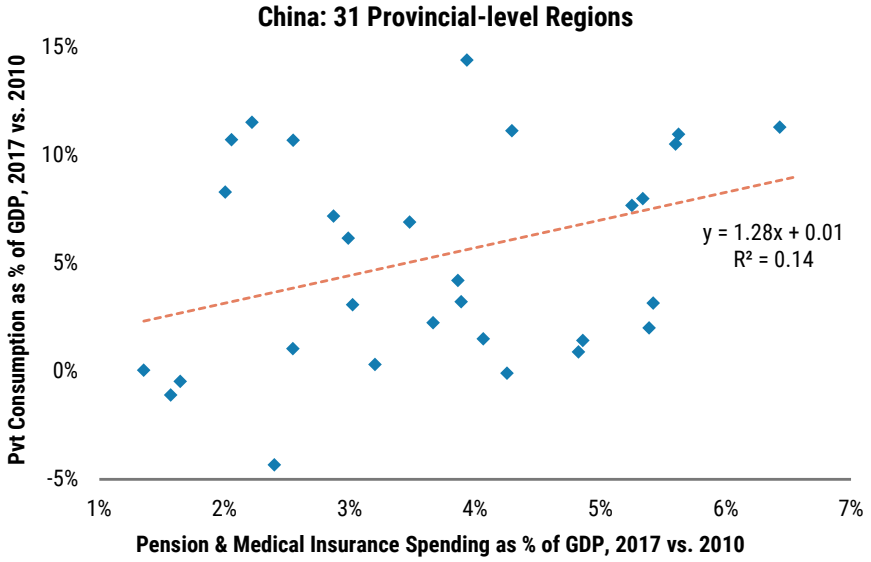
Gradual Rebalancing

…through Social Welfare Reform

Income redistribution toward lower-income households that exhibit a higher marginal propensity to consume



Provincial data show rising social welfare spending associated with higher consumption share in GDP

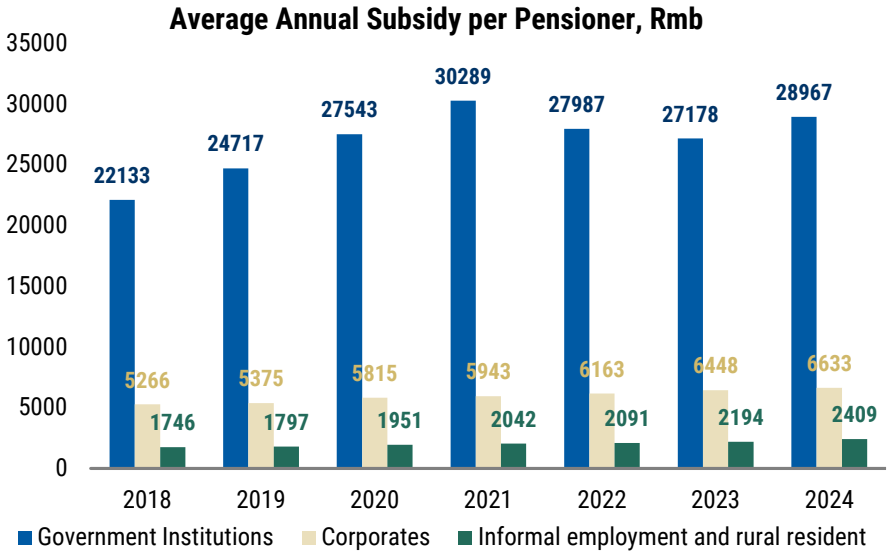


Source: CEIC, Morgan Stanley Research.

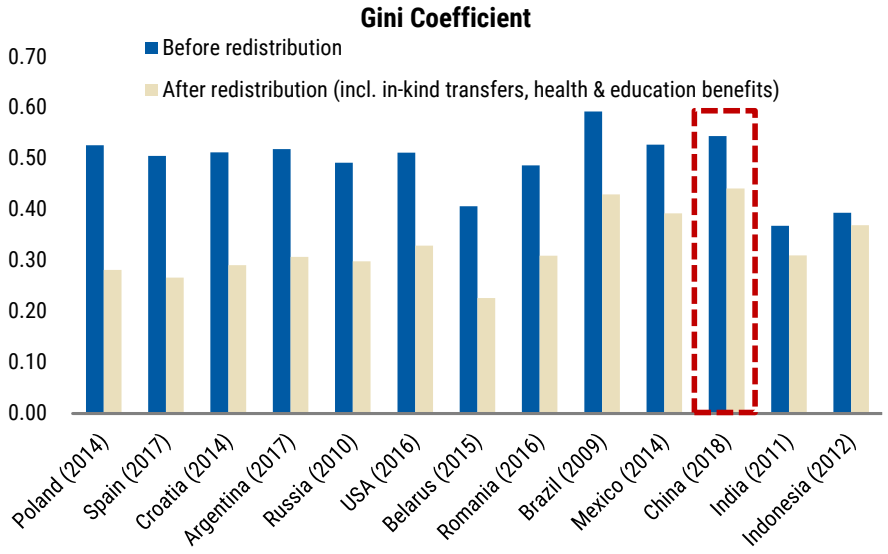
Gradual Rebalancing

Fragmented Social Welfare System

Wide benefit gaps across social groups



Inequality reduced, yet redistributive power lags peers



Source: CEIC, World Bank, CEQ Institute, Morgan Stanley Research.

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